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**SCHOOL OF ECONOMICS
DEPARTMENT OF APPLIED ECONOMICS**

EAE 200: ECONOMICS OF GLOBAL BUSINESS

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Objective

The unit introduces learners to economics of global business. Globalization today is reshaping our lives and indeed leading us into uncharted territories. The dynamic nature of the economics of global business affects each of us personally. As economies reduce barriers to trade and investment, globalization forces their industries to grow more competitive if they have to survive. Moreover, as multinationals from advanced countries and emerging markets seek out customers, competition intensifies on a global scale. These new realities of international business are altering our cultures and transforming the way companies do business.

The course is designed to provide students with a systematic understanding of the critical aspects of the contemporary global economic and business environment especially the global business strategy formulation and implementation, and ethical concerns in global business

III. Coursework and Reading

Several exercises will be assigned covering theoretical and practical aspects of project appraisal. The continuous assessment will comprise of a timed test and a practical problem. These will constitute 30% of the final mark. The remaining 70% will be from the end of semester examination.

IV. References

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V. Course Topics

1. Globalization
2. Global Business Strategy
3. Multinational Corporations
4. Social and Ethical Concerns in Global Business
5. Economic Integration
6. Financial Crisis

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TOPIC ONE GLOBALIZATION INTRODUCTION

1.1 Objectives

By the end of the topic, the student should be able to:

1. Identify the two forces causing globalization to increase
2. Describe how globalization affects markets and production
3. Describe the common types of entry modes to the foreign markets
4. Identify the various types of drivers of globalization
5. Identify the various impacts and effects of globalization

1.2 What is Globalization

Globalization refers to the shift toward a more integrated and interdependent world economy. Globalization has several facets, including the globalization of markets and globalization of production.

A fundamental shift is occurring in the world economy , we are moving away from the world in which national economies were relatively self contained entities, isolated from each other by barriers to cross-border trade and invest: by distance, time zones and language and national differences in government regulation, culture and business systems.

We are moving towards a world in which barriers to cross-border trade and investment are declining perceived distance is shrinking due to advances in transportation and telecommunications technology, material culture is starting to look similar the world over; and national economies are merging into a interdependent, integrated global economic system. The process by which this is occurring is the commodity referred to as globalization

In this interdependent global economy a KU student may talk to his/her friend on a Nokia cell phone that was designed in Finland and assembled in South Korea using cheap sets produced in Taiwan that were designed by Indian engineers working for Texas instruments in USA.

This is the world in which we live. It is a world where the volume of goods, services and investment crossing national borders has expanded faster than world output consistently for than half a century.

1.2.1 Globalization of markets

The globalization of markets refers to the merging of historically distinct and separate national markets into one huge global market place. Falling barriers to cross border trade have made it easier to sell internationally. It has been argued that the tastes and

preferences of consumers in the different nations are beginning to converge on some global norm, hereby helping to create a global market.

Consumer products such as coca-cola soft drinks, starbucks and java coffee, McDolnald Hamburgers are frequently held up as prototypical examples of this trend. Firms such as those just cited are more than just factors of this trend. They are also facilitators of it. By offering the same basis product world wide they help to create a global market. A company does not have to be the size of those multinational giants to facilitate and benefit from the globalization of markets.

In United States nearly 90% of firms that export are small businesses employing less than 100 people. Their share of total US exports has grown steadily over the last decade to now exceed 20 %. In Germany, a staggering 98% of small and mid- sized companies have exposure to international markets either via exports or international production.

Despite global prevalence of McDonald Hamburger, starbucks and Java coffee, it is important to push too far the view that national markets are giving way to the global market. Significant differences still exist among national markets along many relevant dimensions including consumer tastes and preferences, distributional channels, culturally embedded value systems, business systems and legal regulations. These differences frequently require companies to customize marketing strategies, product features and operating practices to best match conditions in a particular country. Automobile companies promote different car models in different nations, depending on range of factors such as local fuel costs, income levels, traffic congestion and cultural values

The global markets currently are not markets of consumer products where national differences in tastes and preferences are often important enough to act as a brake on globalization, but markets for industrial goods and materials that serve a universal need the world over. These include the markets for commodities such as aluminium, oil and wheat for industrial products such as microprocessor, DRAMS (Dynamic Random Access Memory) (Computer Memory Chips) for computer software and commercial jet aircrafts; and for financial assets from US Treasury Bills to Eurobonds.

In many global markets the same firms frequently confront each other as competitors in nation after nation. Coca-cola rivalry with Pepsi company is a global one as are the rivalries between Ford and Total, Boeing and Airbus, Caterpillar and Komatsu in earth moving equipment. If a firm moves into a nation not currently served but its rivals are sure to follow to prevent their competitors from gaining an advantage. Its firms follow each other around the world, they bring with them many of the assets that served them well in other national markets including their products, operating strategies, marketing strategies, and brand names creating some homogeneity across markets. This greater uniformity replaces diversity. In an increasing number of industries, it is no longer meaningful to talk about “the German market” “the American market” or the “Japanese market” or “the Chinese market for many firms there is only the global market.

1.2.2 The Globalization of Production

The globalization of production refers to the sourcing of goods and services from locations around the globe to take advantage of national differences in the cost and quality of factors of production (eg land, labour, capital and energy). By doing this, companies hope to lower their overall cost structure or improve the quality or functionality of their product offering, thereby allowing them to compete more effectively.

1.3 ENTERING FOREIGN MARKETS

Entry modes

Once a firm decides to enter a foreign market the question arises as to the best mode of entry. Firms can use six different modes to enter foreign markets

- Exporting
- Licensing
- Turkey projects
- Franchising
- Establishing joint ventures with a host country firm
- Setting up a new wholly owned subsidiary in the host country

1.3.1 EXPORTING

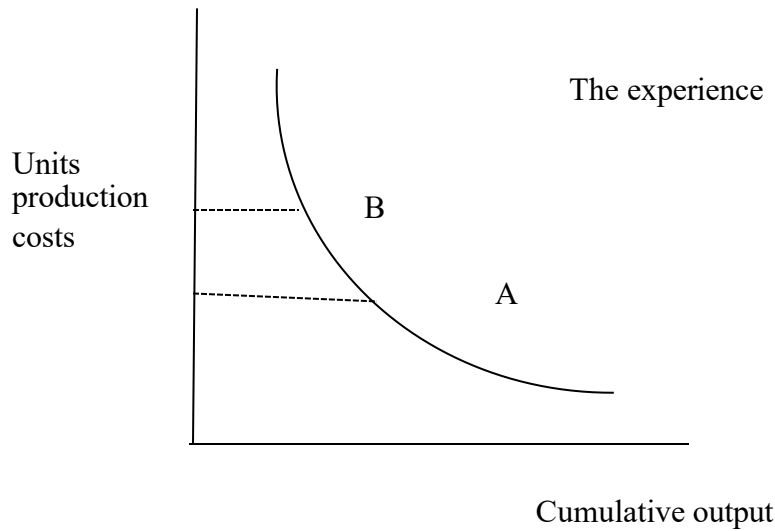
Many manufacturing firms begin their global expansion as exporters and only later switch to another mode for serving a foreign market.

Advantages

- It avoids the often substantial costs of establishing manufacturing operations in the host country
- Exporting may help a firm achieve experience curve and location economies. By manufacturing the product in a centralized location and exporting it to other national markets the firm may realize substantial scale economies from its global sales volume, , how Matsushita came to dominate VCR market, his is how Sony came dominate the global TV market

Experience curve

Systematic reductions in production costs that have been observed to occur over the life of a product



A number of studies have observed that a product's production costs decline by some quality about each time cumulative output doubles. Two things explain this:

- Leaving effects
- Economies of scale

Many Japanese automakers make inroads into the US market through exporting

Disadvantages

- Exporting from the firm's home base may not be appropriate if lower cost location for manufacturing the product can be found abroad.
- Higher transportation costs can make exporting uneconomical, particularly for bulk products. One way of getting around this is to manufacture bulk products regionally. This strategy enables the firm to realize some economies from large-scale production and at the same time to limit its transportation costs.

Turkey projects

In a turkey project the contractor agrees to handle every detail if the project of a foreign client, including the training of operating personnel. At the completion of the contract the foreign client is handed the "key" to a plant that is ready for full operation hence the term turkey. This is a means of exporting technology to other countries

Turkey projects are most common in the chemical, pharmaceutical, petroleum refining industries all of which use complex, expensive production technologies.

Advantages

- The know-how required to assemble and run a technologically complex process such as refining petroleum or steel is a valuable asset

- Turkey assets are a way of earning great economic returns from that asset. The strategy is particularly useful where the FDI is limited by host-government regulations

Example: the governments of many oil-rich countries have set out to build their own petroleum refining industries so they restrict FDI in their oil and refining sector but because many of these countries lack petroleum-refining technology they gain it by entering into turkey projects with foreign firms that have the technology

Such deals are often attractive to the selling firm because without them they would have no way to earn a return on their valuable know-how in that country

- A turkey strategy can also be less risky than conventional FDI. In a country with unstable political and economic environments, a longer-term investment might expose the firm to unacceptable political or economic risks (eg the risk of nationalization or of economic collapse)

Disadvantages

- The firm that enters into a turkey deal will have no long-term interest in foreign country

This can be a disadvantage if that country subsequently proves to be a major market for the output of the process that has been exported

One way around this is to make minority equity interest in the operation

- The firm that enters into a turkey project with a foreign enterprise may inadvertently create a competitor.

Example: many of the western firms that sold oil-refining technology to firms in Saudi Arabia, Kuwait, and other Gulf states now find themselves competing with these firms in the world of oil market

- If the firm's process technology is a form of competitive advantage, then selling this technology through a turkey project is also selling competitive advantage to potential or actual competitors.

1.3.3 LICENSING

A licensing agreement is an arrangement whereby a licensor grants the right to the intangible property to another entity (the licensee) for a specified period and in turn the licensor receives a royalty fee from the licensee

Intangible property includes

- I. Patents
- II. Inventions
- III. Formulas
- IV. Processes
- V. Designs
- VI. Copyrights
- VII. Trademarks

Example: to enter the Japanese market Xerox, inventor of the photocopier established a joint venture with Fuji Photo, that is known as Fuji-Xerox. Xerox then licensed its xerographics know-how to Fuji-Xerox. In return Fuji-Xerox paid Xerox a royalty fee equal to 5% of the net sales revenue that Fuji-Xerox earned from the sales of photocopiers based on Xerox's patented know-how.

Advantages

- In the typical international deal, the licensee puts up most of the capital necessary to get the overseas operations going. Thus a primary advantage of licensing is that the firm does not have to bear the development costs and risks associated with opening of a foreign market. Licensing is attractive for firms lacking the capital to develop operations overseas.
- Licensing can be attractive when a firm is unwilling to commit substantial financial resources to an unfamiliar or particularly volatile foreign market.
- A firm may use licensing when it wishes to participate in a foreign market but is prohibited from doing so by barriers to investment. This was one of the original reasons for the formation of the Fuji-Xerox joint venture in 1962
- Licensing is frequently used when a firm possesses some intangible property that might have business applications but it does not want to develop those applications itself. Example: coca-cola has licensed its famous trademark to clothing manufacturers which have incorporated the design into clothing

Disadvantages

- It does not give a firm the tight control over manufacturing, marketing and strategy that is required for realizing experience curve and location economies. Licensing typically involves each licensee setting up its own production operations. This severely limits the firm's ability to realize experience curve and location economies by producing its products in a centralized location. When these economies are important licensing may not be the best way to expand overseas.
- Competing in global market may require a firm to coordinate strategic moves across countries by using profits earned in one country to support competitive attacks in another.
By its very nature licensing limits a firm's ability to do this: a licensee is unlikely to allow a multinational firm to use its profits to support a different licensee operating in another country.
- The risk associated with licensing technological know-how constitutes the basis of many multinational firms' competitive advantage. Most firms wish to maintain control over how their know-how is used and a firm can quickly lose control over its technology by licensing it.

1.3.4 Franchising

Franchising is similar to licensing although franchising tends to involve longer-terms commitments rather than licensing.

Franchising is a specialized form of licensing in which the franchiser not only sells intangible property (normally a trademark) to the franchisee but it also insists that the franchisee agree to abide by the strict rules as to how it does business.

The franchiser will also often assist the franchisee to run the business on an ongoing basis. As with licensing the franchiser typically receives a royalty payment which amounts to some percentage of the franchisee revenues. Whereas licensing is pursued primarily by manufacturing firms, franchising is employed primarily by service firms.

Example ; McDonald is a good example of a firm that has grown by using a franchising strategy. McDonald's rules as to how franchisees should operate a restaurant extend to control the menu, cooking methods, staffing policies, design and location. McDonald also organizes the supply chain for its franchisee and provides management, training and financial assistance.

Advantages

- Franchiser can use franchising as a low-cost, low-risk entry modes into new markets. Companies following global strategies rely on consistent products and common items in worldwide market. Franchising allows them to maintain consistency by replicating the processes for standardized products in each target market.
- Franchising is an entry mode that allows for rapid geographical expansion. Firms often gain a competitive advantage by being first in seizing a market opportunity.
- Franchising can benefit from the cultural knowledge and know-how of the local managers. This help lower the risk of business failure in unfamiliar markets and can create a competitive advantage

Disadvantages

- Franchisers may find it cumbersome to manage a large number of franchisees in a variety of national markets. A major concern is that product quality and promotional messages among franchisees will not be consistent from one market to another
- Franchisees can experience a loss of organizational flexibility in franchising agreements. Franchise contracts can restrict their strategic and tactical options and they may even be forced to promote products owned by the franchiser's other divisions.

Example PepsiCo owned the well known restaurant chains Pizza Hut, and KFC. As part of their franchise agreements with PepsiCo, restaurant owners were required to sell only PepsiCo beverages to their customers. Many franchisees worldwide were displeased with such restrictions on their product offering and were relieved when PepsiCo spun off the restaurant chains

1.3.5 Joint ventures

A joint venture entails establishing a firm that is jointly owned by two or more otherwise independent firms: Fuji-Xerox for example was set up as a joint venture between Xerox and Fuji photo.

Establishing a joint venture with a foreign firm has long been a popular mode for entering a new market. The most typical joint venture is 50/50 venture in which there are two parties each of which holds a 50 percent ownership stake and contributes a team of managers to share operating control (this way the case with the Fuji-Xerox joint venture until 2011: it is now a 25/75 venture, with Xerox holding 25 percent. Some firms have sought joint ventures in which they have a majority share and thus tighter control.

Advantages

- A firm benefits from a local partner's knowledge of the host country's competitive conditions, culture, language, political systems and business systems. Thus for many US firms joint venture have involved the US company providing technological know-how and the products and the local partner providing the marketing expertise and the local knowledge necessary for competing in that country.
- When the development costs or risks of opening a foreign market are high, a firm might gain by sharing these costs and or risks with a local partner.
- In many countries, political considerations make joint ventures the only feasible entry mode. Research suggests that joint ventures with local partners face a low-risk of being subject to nationalization or other forms of adverse government interference. This appears to be because local equity partners who may have some influence on host-government policy have a vested interest in speaking out against nationalization or government interference.

Disadvantages

- As with licensing, a firm that enters into a joint venture risk giving contract of its technology to its partner.
However joint venture agreements can be constructed to minimize this risk by;
 - One option is to hold majority ownership in the venture. This allows the dominant partner to exercise greater control over its technology. But it can be difficult to find a foreign partner who is willing to settle for minority ownership
 - Another option is to “wall off” from a partner technology that is central to the core competence of the firm, while sharing other technology
- A joint venture does not give a firm the tight control over subsidiaries that it might need to realize the experience curve or location economies. Nor does it give the firm the tight control over a foreign subsidiary that it might need for engaging in coordinated global attacks against its rivals.

- The shared ownership agreement can lead to conflicts and battles for control between the investing firms if their goals and objectives change or if they take different views as to what the strategy should be. Research indicates that conflicts of interest over strategy and goals often arise in joint ventures.

These conflicts tend to be greater when the venture is between firms of different nationalities and they often end in the dissolution of the venture. Such conflicts tend to be triggered by shifts in the relative bargaining power venture partners.

Example: in the case of ventures between a foreign firm and a local firm, as foreign partner's knowledge about local market conditions increases depend less on the expertise of a local partner and ultimately leads to conflict over control of the venture's strategy and goals

Some firms have sought to limit such problems by entering into joint ventures in which one partner has a controlling interest

1.3.6 Wholly owned subsidiary

In a wholly owned subsidiary the firm owns 100 percent of the stock. Establishing a wholly owned subsidiary in a foreign market can be done in two ways

- a) The firm can set up a new operation in that country often referred to as a Greenfield venture
- b) It can acquire an established firm in that host nation and use that firm to promote its products

Advantages

- When a firm competitive advantage is based on the technological competence a wholly owned subsidiary will often be the preferred entry mode because it reduces the risk of losing control over that competence.

Many high-tech firms prefer this entry mode for overseas expansion (eg firms in the semi-conductor electronics and pharmaceutical industries)

- A wholly owned subsidiary gives the firm tight control over operations in different countries. This is necessary for engaging in global strategic coordination (ie, using profits from one country to support competitive attacks in another)
- A wholly owned subsidiary may be required if a firm is trying to realize location and experience curve economies. When cost pressures are intense it may pay a firm to configure its value added at each stage is maximized. Thus a national subsidiary may specialize in manufacturing only part of the product line or certain components of the product, exchanging parts and products with other subsidiaries in the firm's global system.

The various operations must be prepared to accept centrally determined decisions as to how they will produce and how their output will be priced for transfer to the next operation.

Because license or joint-venture partners are unlikely to accept such a subservient role establishing wholly owned subsidiaries may be necessary.

- Establishing a wholly owned subsidiary gives the firm a 100 percent share in the profits generating in a foreign market.

Disadvantages

- Establishing a wholly owned subsidiary is generally the most costly method of serving a foreign market from a capital investment stand point.
Firms doing this must bear the full capital costs and risks of setting up overseas operations
These problems may more than offset any benefits derived by acquiring an established operation.

5.6 DRIVERS OF GLOBALIZATION

Market drivers	Cost drivers
Per capita income converging among industrialized nations	Continuing push for economies of scale
Convergence of lifestyles and tastes	Accelerating technological innovation
Organizations beginning to behave as global customers	Advances in transportation
Increasing travel creating global consumers	Emergence of newly industrialized countries with productive capacity and low labour costs.
Growth of and regional channels	Increasing cost of product development relative to market life
Establishment of world brands	
Push to develop global advertising	

Government drivers Reduction of tariff barriers Reduction of non-tariff barriers Creation of blocs Decline in the role of governments as producers and customers Privatization in previously state-dominated economies Shift to open market economies from closed communist systems in eastern Europe Increasing participation of China and India in the global economy	Competitive drivers Continuing increase in the level of world trade Increased ownership of corporations by foreign acquirers Rise of new competitors intent upon becoming global competitors Growth of global networks making countries interdependent in particular industries. More companies becoming globally centered rather than nationally centered Increased formation of global strategic alliances
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Other drivers

Revolution in information and communication.

Globalization of financial markets improvements in business travel

1.5 EFFECTS OF GLOBALIZATION

i) Positive Effects

- Globalization can provide operational economies of scale, technological and productivity improvements through cross border specialization and the utilization of global factors of production and technology.
- Globalization leads to faster spread of technology
- Globalization generates opportunities for trade
- Globalization makes countries, especially the developing ones to benefit from increased Foreign Direct Investment (FDI)
- Globalization may also provide the productive application of capital worldwide, maximizing rates of returns on savings and investments where national opportunities are limited

- Due to globalization, global resources may be used optimally, including the competitive sourcing of inputs to achieve cost competitiveness in production, economies of scale and efficient technology utilization.
- Globalization will lead to easy movement of products and factor flows across borders where trade, services, investments, financial capital, technology and labour, freely move.
- At a firm level, globalization can lead to a process where firms coordinate their activities across nation boundaries with a view to maximizing profits and remaining competitive.
- Globalization promotes competition, which reduces costs and encourages innovation.
- Globalization promotes political and social ties.

Negative Effects

- Globalization leads to increased and challenging demands of skill structures of the labour market. This may lead to the unemployment
- Globalization can lead to loss of employment, especially in developing countries where labour intensive technique of production is prevalent.
- Unemployment negatively affects social cohesion in countries affected by globalization.
- Globalization requires more communication and innovative skills and competences matching the new production structures and the processes in the workplace. This adds to cost of production.
- National policies are sacrificed in favor of globalization, and multilateral global rules in loss of a country's sovereignty.
- Globalization can also exacerbate inequality, erode national cultures, has environmental costs and may make a country to be dominated by Multinational Corporations (MNCs)

1.6 IMPACT OF GLOBALIZATION

A number of views have been expressed regarding the impacts of globalization. Some people argue that globalization has been beneficial while others portend that it has been detrimental to a majority, especially those in developing countries.

The impact of globalization differs depending on the group in question. Thus, globalization has impacted variously on:

- Consumers
- Companies
- Workers and
- Government

i) Impact of globalization consumers

- Consumers have cheaper goods and there is more choice. This opportunity has the potential of improving the welfare position of the consumers
- At the same time it has been argued that due to globalization, big global players wipe out small local producers and this kills local industries, reduces employment opportunities and general limits consumer choice.
- Globalization increases information asymmetry to the disadvantage of the consumers. Specifically, there is general lack of information on where the goods are produced, how they are produced and the working conditions under which they were produced

ii) Impact of globalization on companies

- Globalization leads to a widening of markets
- Globalization facilitates outsourcing, subcontracting and other alternative forms of employment. This tend to reduce costs to companies.
- Globalization has facilitated mobility of capital and investments. This has enabled easier relocation of companies to countries with more favorable investment environment.
- Due to globalization and an effort to attract foreign direct investment, most poor countries have let investors to set terms and conditions for investment. This benefits investors and their companies. Globalization has lead to increased competition.

iii) Impact of globalization on workers

- A number of arguments have been raised that workers have borne the greatest brunt of globalization. The impact of globalization on workers has been mixed
- Some workers have lost jobs, experience job security while others, particularly the lowly skilled have registered deterioration in their earnings and social hardships.
- Workers have also borne the full brunt of globalization as first targets of cost cutting, retrenchments in invent of companies shifting to production where there are lower costs.
- Globalization has also encouraged violation of core or fundamental labour standards such as fair remuneration, freedom of association and right to collective bargaining.

iv) Impact of globalization on Government

- Loss /weakened national sovereignty.
- Most governments in poor countries are desperate for investment and are willing to

- ✓ Silence the workers to create a “docile” workforce through frustrating trade unions and collective bargaining.
- ✓ Allowing child labour
- ✓ Growth of the informal sector
- ✓ Creating export processing zones with weaker labour laws and ignoring discrimination of workers such as women.

1.7 Topic Summary

1. Globalization has several facets, including the globalization of markets and the globalization of markets
2. A company does not have to be the size of the multinational giants to facilitate and benefit from the globalization of markets
- 3 The various drivers of globalization are market, cost, government and competitive drivers
4. Globalization has impacted variously on consumers, companies, workers and governments

1.8 Work to do



1. What is a born global firm?

2. Identify the two forces causing globalization to increase?
3. Describe the process of globalization and how it affects markets and production?
4. How might the internet and the associated World Wide Web affect international business activity and the globalization of the world economy
5. Describe the drivers of globalization.

1.9 Further reading



Casto, Lucio, Kraus Christiane and Manuel de la Rocha (2004), "Regional Trade Integration in East Africa: Trade and Revenue Impacts of the Planned East African Community Customs Union. "World Bank Africa Region Working Paper Series No . 72

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TOPIC TWO

Global Business Strategy

Introduction



In this topic we will look at the forces driving Global business strategy, global business strategy formulation, the political imperative in the global business and the contemporary global business environment

2.1 Topic Objectives



By the end of the topic the student should be able to

1. Describe the business strategy formulation
2. Describe the move and countermove theory in the global business
3. Identify the political imperative in the global business
4. Identify the contemporary global business environment.
5. Describe the difference between Global and National business strategy

Global Business strategy can be defined as the strategies engaged by the businesses, industries, companies, or firms operating in a global business environment and serving consumers throughout the world. A global industry can be defined as:

- I. An industry in which firms must compete in all world markets of that product in order to survive

- II. An industry in which a firm's competitive advantage depends on economies of scale and economies of scope and gained across markets

Global business strategies are closely related to the business developing strategies adopted by businesses to meet their short and long term objectives. The short term goals of the business would be related to improving the day-to-day operations of the company while the long term objectives are generally targeted towards increment of the profits, sales, and earnings of the company in the long run ensuring growth and stability of the business and dominance over the national or regional market

2.2 History Background of Global Business

The first age of globalization extended from the mid 1800s to the 1920s. In those days, labour was highly mobile, with 300,000 people leaving Europe each year in the 1800s and 1 million people leaving each year after 1900. Other than in wartime, nations did not even require passports for international travel before 1914. And like today, workers in wealthy nations back then feared competition for jobs from high-and-wage countries. Trade and capital flowed more freely than ever during that first age of globalization. Huge companies from wealthy nations built facilities in distant lands to extract raw materials and produce all sorts of goods. Large cargo ships plied the seas to deliver their manufacturers to distant markets. The transatlantic cable (completed in 1866) allowed news between Europe and the United States to travel faster than ever before. The drivers of that first age of globalization included the steamship, telegraph, railroad, and later the telephone and airplane.

That first age of globalization was abruptly halted by the arrival of the first world war, the Russian revolution and the Great Depression. A backlash to fierce competition in trade and unfettered immigration in the early 1900s helped usher-in high tariffs and barriers to immigration. The great flow of goods, capital and people common before First World War became a mere trickle. For 75 years from the start of the First World War to the end of the Cold War, the world remained divided. There was a geographic divide between East and West and an ideological divide between communist and capitalism.

After the Second World War, the West experienced steady economic gains, but international flows of goods, capital, and people were confined to their respective capitalism and communist systems and geographies.

Fast-forward to 1989 and the collapse of the wall separating East and West Berlin. One by one, central and eastern nations threw off the chain of communism, embraced freedom, and began a march toward democratic institutions and free market economic systems. Although it took until the 1990s for international capital flows, in absolute terms, to recover to levels seen prior to the First World War, the global economy had finally been reborn. Lowering the cost of telecommunications and binding our world more tightly together are the drivers of this second age of globalization –communication satellites, fiber optics, microchips and the internet.

2.2.1 Forces Driving Global Business Strategy

Global business strategy have emerged as a result of globalization and internationalization of established domestic companies which is purported to increase the value of the company in question. Increasing pressure of globalization and the rising global competition have prompted managers and academicians to rethink the formulation of global business strategy. Consequently, factors such as product differentiation and diversification have increasingly become relevant in the case of both national and global business strategy in the wake of rising competition in both the national and international market

Global Business strategy involves

- I. Competing everywhere
- II. Appreciating that success demands a presence in almost every part of the world in order to compete effectively
- III. Making the product the same for each market
- IV. Centralized control
- V. Taking advantage of customer needs and wants across international borders
- VI. Locating their value adding activities where they can achieve the greatest competitive advantage
- VII. Integrating and co-ordinating activities across borders

2.2.2 Differences Between Global and National Business Strategy

Global business strategy differs from a national business development strategy as different other factors such as product standardization and adaptation come in. standardization and production by firms who engage in global business entails producing the same product for the national as well as the international markets with only minor changes in attributes. This is mainly explained by the fact that basic human needs are the same in all countries across the world. The concept of standardization first emerged in the 1960's and the again resurfaced in the 1980's and it has been adopted very effectively by many Japanese and European firms which have experienced higher levels of product and process innovations which in turn have acted as source of comparative advantage for these companies in the international market. The arguments in favour of the global business strategy of standardization are:

- I. It benefits in the economies of scale accruing to the company with it being able to produce in large quantities using more or less the same techniques of production
- II. It preserves the image of the home country which houses the global corporation since it helps in minimizing the costs of alteration, design or modification, handling and stocking the product, speeding up delivery systems.
- III. It helps in saving the managerial time and effort to make decisions regarding the manufacturer of different products
- IV. It helps in faster accumulation of the learning experience through learning-by-doing approach

Advocates of the strategy of market orientation using the techniques of adaption or local adaption, however, argue that while basic human needs may be similar everywhere, standardization may not be the word as differences in cultural and other environmental factors significantly influence the buying pattern of people in different countries.

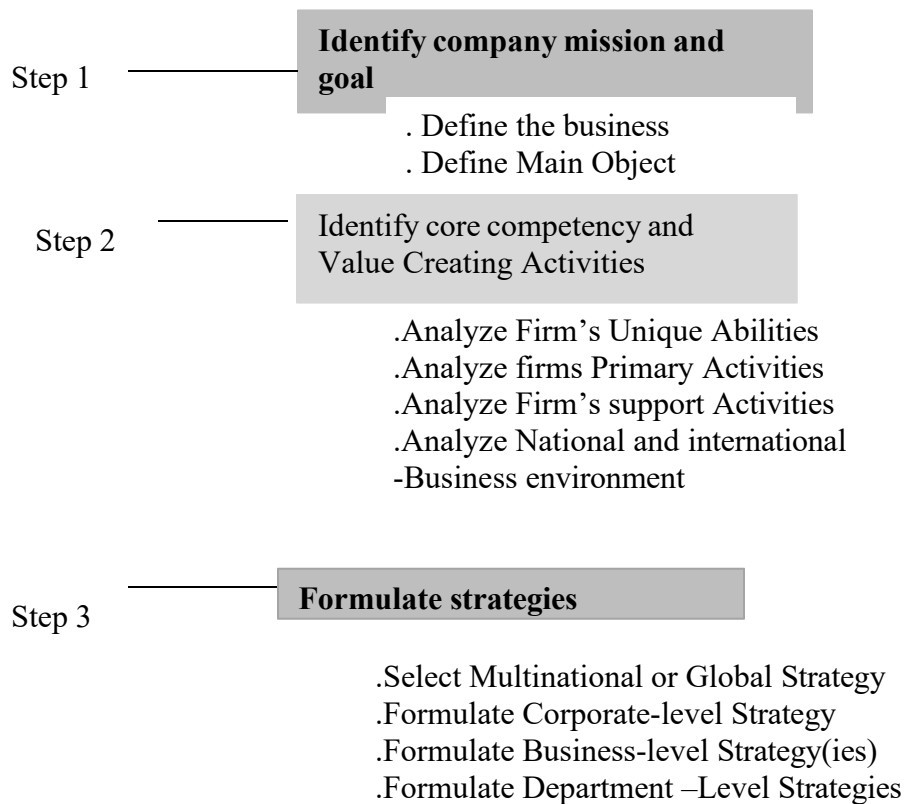
2.3 Global Business Strategy Formulation

The globalization of the world economy has intensified competition across a range of industries. Global Business strategy is the way by which a business competes in the global market. Global business strategy formulation is concerned with designing means to match unique company resources with overseas market opportunities to accomplish competitive advantage. Global Business Strategy decision making is complex, requiring relevant tools and techniques to analyze and understand the target country. The nature and degree of the competition and the company's compatibility with the market. Decision makers in international marketing are faced with many challenges as a result of the complex and uncertain environment in which they operate. Moreover, many companies tend to focus on domestic operations and overlook attractive international business opportunities because of various attitudinal, informational or operational barriers.

Managers confront similar concerns whether formulating a strategy for a domestic or international company. Both types of firms must determine what products to produce, where to produce them and where and how to market them. The biggest difference lies in the complexity. Companies considering international production need to select from many potential countries, each likely to having more than one possible location.

Depending on its product line, a company that wants to market internationally might have an equally large number of markets to consider. Whether it is being considered as the site for operations or as a potential market, each international location has a rich mixture of cultural, political, legal and economic traditions and processes. All these factors add to the complexity of planning and formulating strategy for international managers.

The strategy formulation process involves both planning and strategy. Strategy formulation permits managers to step back from day-day activities and get a fresh perspective on the current and the future direction of the company and its industry.



2.3.1 Strategic Planning and Strategy

There are two key words used in the Global business strategy. These are strategic planning and strategy.

Strategic planning is the process by which a firm's managers evaluate the future prospects of the firm and decide on appropriate strategies to achieve long-term objectives. Strategy on the other hand is the basic means by which the company competes- its choice of business or businesses in which to operate and the ways in which it differentiates itself from its competitors

A number of steps are involved in formulating or developing global business strategies. These are

- I. Mission and objectives
- II. Environmental objectives
- III. Internal analysis
- IV. Competitive analysis
- V. Global and international strategic alternatives
- VI. Approaches to world markets
- VII. Global integrative strategies

- VIII. Using e-business for global expansion
- IX. E-global or e-local
- X. Entry strategy alternatives
- XI. Strategic choice

Mission and objective; mission statement is written statement of why a company exists and what it plans to accomplish. Objective is a goal or a purpose

Environmental planning/ assessment; this is the process of gathering information and forecasting relevant trends, competitive actions and circumstances that will affect operations in geographic areas of potential interest. The key factors considered here are political stability, currency stability, nationalism and international competition.

Internal analysis; internal analysis determine which areas of the firm's operations represent strengths or weaknesses (currently or potentially) compared to competitors so that the firm may use that information to its strategic advantage. It focuses on the company's resources and operations and global synergies

Approaches to world market; a major strategy decision that has to be made is whether to approach to the world market from a global perspective or from a regional or multi local front. If it is desirable to approach that world market from a global side, then this requires establishing worldwide operations and developing standardized products and marketing strategies. However, if regionalization (or multi local) is preferred then the company would operate in a situation where local markets are linked together within a region, allowing more local responsiveness and specialization

Using e-business for Global expansion; this strategy makes sense when trade is global in scope; when the business does not involve delivering orders; and when the business model can be hijacked relatively easily by local competitors. The e-local /regional approach is preferable under three conditions

- i. When producing and consumption are regional rather than global in scope
- ii. When customer behavior and market structures differ across regions but are relatively similar within a region
- iii. When supply chain management is very important to success

Entry strategy Alternatives; these are numerous global business entry strategy alternatives. These differ depending on their levels of risks. They also vary in terms of their advantages and the critical success factors.

2.4 Move and countermove in Global Industries: Game Theory Applications

- 1. In large global industries strategic moves by the players have dramatic implications. At times the normal models of competition are inadequate, requiring the more sophisticated application of oligopolistic game theory model.
- 2. Describing a game
 - a. Players: the individuals or actors making decisions. Players are viewed as maximizers are denoted $i=1 \dots n$

- b. Nature:: a non-player who takes random actions at specified times with specified probabilities
- c. Actions or Moves: the choices made by the player, denoted a_i
- d. Action set: the entire set for actions or moves available to player I, denoted $A_i = \{a_i\}$
- e. action combination: an order set of the actions (one each) of the players in the game, denoted $a = (a_1 \dots a_n)$
- f. order of play: the order in which actions can be taken
- g. information set: the set of different nodes in the game that the player knows could be the actual node, denoted w_i
- h. strategy : a rule, s_j that tells the player which action to take given the information set.
- i. Strategy set: the set of strategies available to player I, $S_j = \{s_j\}$
- j. Strategy combination: an ordered set of strategies (one each) of the players in the game, denoted $s = (s_1 \dots s_n)$
- k. Payoff: can mean either (1) the gains received after all players and nature have picked their strategies and the game has been played out, or (2) the expected gains he receives as a function of the strategies chosen by himself and the other players. It is denoted $\pi_i(s_1, \dots, s_n)$
- l. Equilibrium: $s^* = (s_1^*, \dots, s_n^*)$, a strategy combination consisting of the best strategy for the n players in the game, given the structure of the game.
- m. Equilibrium Concept: $F: \{S_1, \dots, S_n, \pi_1, \dots, \pi_n\}$ s^* is a rule that defines an equilibrium based on the possible strategy combinations and the payoffs functions.

III. A series of International Applications

A. The prisoner's dilemma

- 1. Defines s_{-i} as all other players strategies. Then a player's best response is the s_i^* that yields the greatest payoff, $\pi_i(s_i^*, s_{-i}) > \pi_i(s_i', s_{-i}) \quad \forall s_i' \neq s_i^*$. s_i^* is a **dominant strategy** if it is the best response no matter what the other players' strategies, $\pi_i(s_i^*, s_{-i}) > \pi_i(s_i', s_{-i}) \quad \forall s_{-i}$ and $\forall s_i' \neq s_i^*$. the classic prisoner's dilemma (shown below) is an example of a best response dominant strategy being second best

COMPANY A

		Collude	Attack
Company B	collude	-1, -1	-10,0
	attack	0,-10	-8,-8

(Row,column)payoff son

The prisoner's dilemma arises because of the nature of the payoffs (particularly the symmetry) and the fact that it is non-cooperative. It could be made cooperative with side-payments that would resolve the dominance problem. The prisoner's dilemma is a classic case of *non-cooperative game with conflict*. We can think of three other types of games.

- Cooperative without conflict*: independent parts of a decentralized international company decide to share market research information.
- Cooperative with conflict*: independent parts of a decentralized company bargain over transfer prices.
- Non cooperative without conflict*: independent international companies decide on a product standard without communication.

B. Iterated dominance

- Take as an example of two companies one that has a choice of entering two markets (Japan) and one that needs to decide which market to defend (US). Suppose the payoffs are given below:

JAPANESE COMPANY

		Europe	S. America
L S COMPANY	Europe	2,-2	2,-2
	S America	1,-1	3,-3

(US,Japan) payoffs

Strictly speaking neither company has a dominant strategy. If the Americans thought that the Japanese would attract Europe they would defend it, but they would defend South America if they thought that was the target. The Japanese would choose {Europe} if the Americans chose {South America}, but would be indifferent if they chose {Europe} (and this is where the solution comes in). this last strategy is a **weakly dominant**. i.e, $\pi_i(s_i^*, s_{-i}) \geq \pi_i(s_i', s_{-i}) \quad \forall s_{-i}$ and $\pi_i(s_i^*, s_{-i}) > \pi_i(s_i', s_{-i}) \quad \exists s_{-i}$

2. Under this scenario, the Japanese have a weakly dominant strategy. The Japanese strategy payoff from {Europe} is no lower than the pay off from {South America} and is greater if the Americans pick {South America}. Under this scenario, the Americans would delete the column South America and have a dominant strategy {Europe}. The solution is then {Europe, Europe}
3. Note the importance of the order of play. Suppose the Americans had to commit first. Under these circumstances, there would be two solutions: {Europe, Europe } and {Europe, South America}. If the Japanese committed first, then {Europe, Europe} would be the only solution.
4. This type of game is an example of a zero-sum game. It is applicable in situations where there are opposing gains and loses, e.g, market entry (as here) and product design (for example, should a company market a “me too” product or something different from existing offerings)

C,Big pig/small or the gains from early entry

1. A classic example of market circumstances is the phenomenon of the first mover advantage. It is found that in many circumstances the first-mover into a market tends to be able to hang onto the gains associated with initial market dominance. This is not the case, however, if the initial entrant is a smaller player (a small pig)
2. Consider two companies. One is a large integrated multinational, the other a small one-country producer. Both are considering entering into a third country with a set of new products. The payoffs are as shown below, and are based on the following logic. The cost of entry (due to risk, defining the market, etc) is the same for everyone (2 units if first, 0 units if second). The gains are the same in total (10 units). If the multinational gets in first, the second entrant is left with little, however, if the local company enters first the gains could be large only if the multinational waits to enter:

LOCAL COMPANY

		Enter first	Enter second
MULTINATIONAL	Enter First	5,-1	4,4
	Enter Second	9,-1	0,0

(multntl,local)payoffs

3. The solution here is for the multinational to enter first and the local company to enter second. Neither player has a dominant strategy and the solution is based on the notion of a **Nash equilibrium**. A strategy combination, s^* , is a Nash equilibrium if no player has an incentive to deviate given that others do not deviate; i.e. $\forall i, \pi_i(s_i^*, s_{-i}^*) \geq \pi_i(s_i', s_{-i}^*) \forall s_i'$. All dominant strategies are Nash equilibria but Nash equilibria are not necessarily dominant

D. Coordination and side payments

1. Take another example, where two divisions of a company are attempting to follow distinct strategies(one is up-market, the other down-market). Central headquarters wants a distinctly up-market strategy and is concerned about the global image of the company's brand. The local division is only concerned about its ROA.

Company in total

		Up-market	down-market
LOCAL DIVISION	Up market	1,3	-1,-1
	Down Market	-1,1-	2,1

Local, Global) payoffs

2. In this case, both {up-market, up-market} and {Down-market, Down-market} are Nash equilibria. However, there is no pareto-dominance since $\pi_{\text{local}}\{\text{Downmarket}, \text{Downmarket}\} > \pi_{\text{local}}\{\text{UpMarket}, \text{UpMarket}\}$ and $\pi_{\text{Global}}\{\text{DownMarket}, \text{DownMarket}\} < \pi_{\text{Global}}\{\text{UpMarket}, \text{UpMarket}\}$. Since this is a cooperative game, a solution exists. The central headquarters realizes that $\pi_{\text{Total}}\{\text{Downmarket}, \text{Downmarket}\} < \pi_{\text{Total}}\{\text{Upmarket}, \text{Upmarket}\}$ and therefore 1 unit can be transferred to the local affiliate to buy it into the “global upmarket strategy”

E. The game of chicken, or who pulls out of a market first

- 1 A typical problem facing a company or group of companies is the excess capacity and the shakeout that ultimately comes about when capacity must be reduced. under these circumstances there are large gains to the staying player as long as someone leaves as someone leaves.

An example of payoffs would be:

Company A

		Company B	
		Stay	Leave
Company A	Stay	-3,-3	0,2
	Leave	0,2	1,1

(A,B) payoffs

- 2 The problem here is one of asymmetry. We know that there are two solutions but which one will be played out? The problem is a mixed strategy equilibrium. A **pure strategy** maps a player's information set to one action; i.e, $s_i: \omega_i \rightarrow a_i$. A **mixed strategy** maps a player's information set to a probability distribution of actions: i.e. $s_i: \omega \rightarrow \Delta(A_i)$ where $m(a_i) \geq 0$ and $\sum_{a_i \in A_i} m(a_i) = 1$

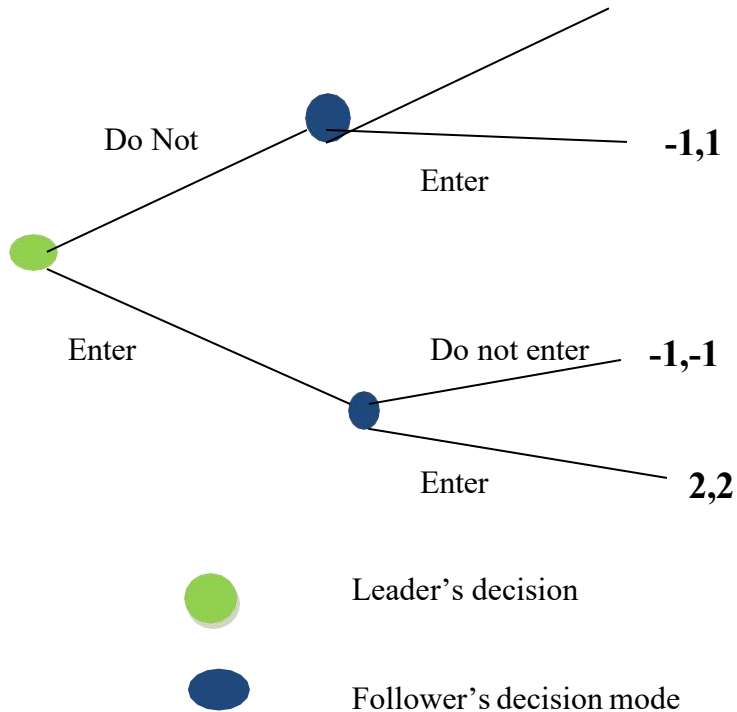
3. In the above case, the problem is symmetric so it is simpler to solve (since one company's strategy is the same as the other company's). In a mixed strategy equilibrium the company must be indifferent to staying or exiting. Define the probability of staying as Θ such that $\pi(\text{leaving}) = \Theta \cdot (0) + (1 - \Theta) \cdot (1) = \Theta \cdot (-3) + (1 - \Theta) \cdot (2) = \pi(\text{stay})$, or $\Theta = 0.25$. So both will stay with probability 6.25%, one company will dominate with probability 46.625% and both will exit with a probability of 47.125%. Therefore, under these circumstances the likelihood of a long-lasting shake out is low.
4. An analogue to the game of chicken is a game of attrition where one party grinds the other down over time until they leave. Industries like to avoid these types of problems and devote considerable effort to setting up signals that indicated who is exiting or mechanisms for determining who wins. One example is the lottery where positions are allocated at random (examples are options listing on exchanges, oil exploration rights and procurement contracts). Another is what is known as **cheap talk** (the ability to costlessly reveal a position). In our example above, cheap talk is useless since everyone would stay. However once the asymmetry is removed, cheap talk becomes valuable as a signaling device.
5. Another classic example of chicken is the standard setting game. Instead of thinking of {stay} or {leave} as moves think of {Beta} and {VHS} or {GUI} and {DOS} as the alternatives

F. Follow the leader

1. Follow the leader is based on the idea that the path to an equilibrium is important. The key is in determining the **equilibrium path** is the responses by the players to deviations from the equilibrium path. Follow the leader is important when the actions of one party determine the path to be followed by the other. For example a company's decision to expand overseas might imply a change in the nature of the market place forcing all to expand overseas. Consider the example shown below. Two companies must take the decision to enter a new market. The leader must decide to enter taking into consideration the subsequent move by the other firm in the market.

Do not enter

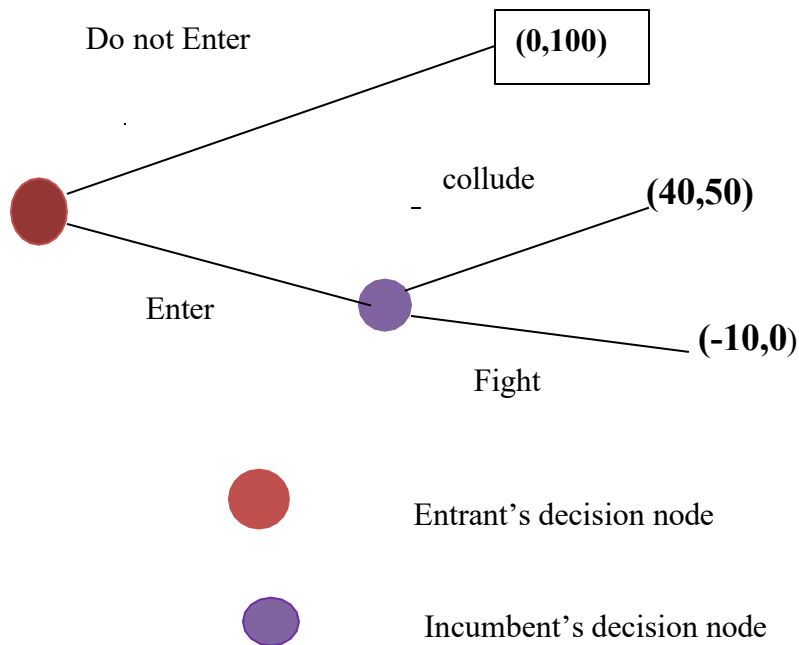
1,1



2. If the leader chooses to enter the follower will enter. If the leader chooses not to enter the follower will not enter. However, the point here is subtle, it is follow the leader because of the structure of the solution.

G. Entry into the Market

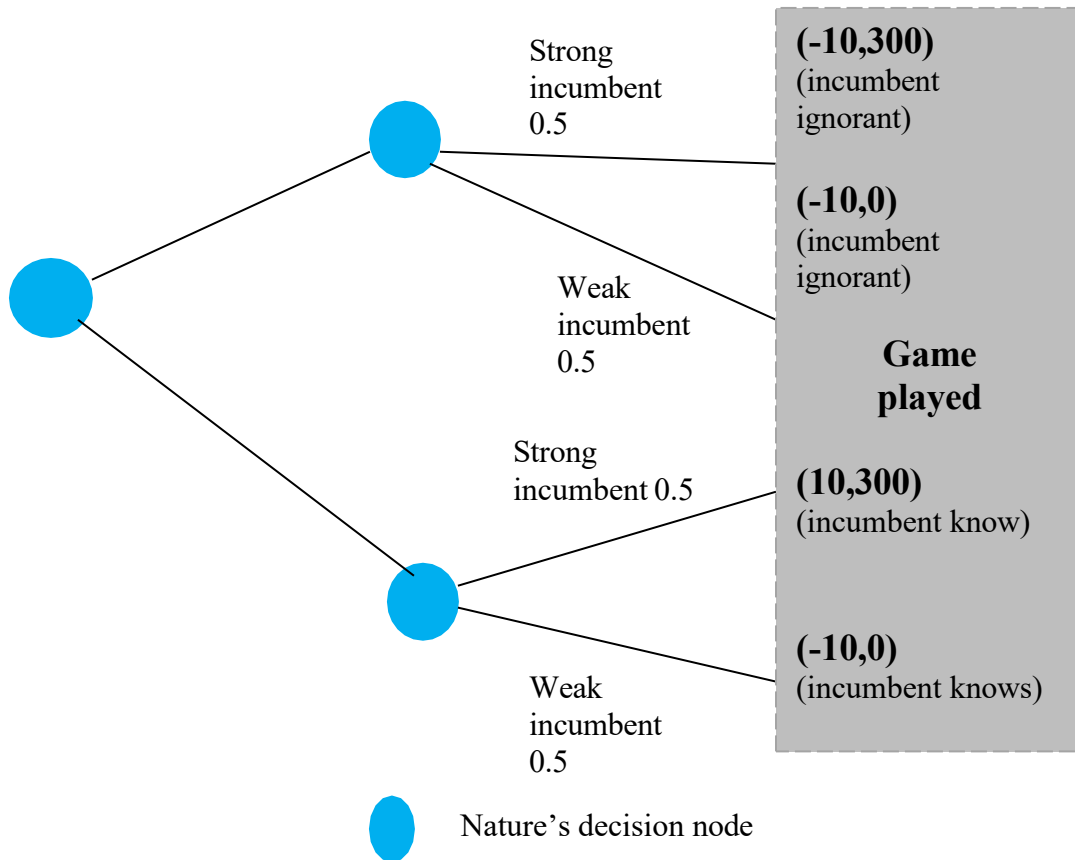
1. The chain store paradox, suppose that the following game is repeated twenty or more times. A multinational company operates in all markets. It is argued that while s/he is willing to ignore entry into any one market, there is a [point beyond which the company will begin defending the market. Does it make sense? The answer is no. Remember Kierkegaard's statement, "life can only be understood backward, unfortunately it must be lived forward. 'suppose the game had been played 19 times, how should it be played the 20th? The answer is {Enter, Collude}. How about the 18th thime? The answer is the same. And so on. This is known as backward induction and ensures that a game is **subgame perfect**- that at every stage (or singleton) of the game one each end node represents and equilibrium.



Perfectness rules out threats that are not credible. A **credible threat** is one that will be instituted as indicated because it is an equilibrium given the payoffs facing the players. This is also related to **reputation effects**, which also must be subgame perfect. In the chainstone paradox, threats to fight are not credible and the only sustainable reputation is to collude

- 3 **Common knowledge**, or the use of revealing information. Suppose that we repeat the entry game with a few more complications. In this set of circumstances the important payoffs are as given below, but there is a lack of common knowledge. In this circumstance, the entrant possesses knowledge of the payoffs but does not know whether or not the incumbent knows the payoffs from then {Enter, Fight} strategy (in this case $(-10, 300)$) (view this as a choice of $X=0$ or 300). Therefore, the entrant must decide which game he will act as if he is playing.
 - a. The equilibrium here is for the entrant to stay out. The reason is based on the high probability that the entrant puts on the incumbents not knowing X . these are two reasons
 - With probability 0.9 nature has not informed the incumbent and the expected payoff from (Fight) is 150
 - With probability 0.05 (0.1, 0.5) nature told the incumbent his payoff from {fight} is 300.

Even if the true payoff from {Fight} was 0 and the incumbent knew this, the entrant would not enter because he does not know that the incumbent knows and his expected payoff from {Enter} would be $-75 = (0.9 + 0.05)(-10) + (0.05)(40)$. Here is an interesting question, should the entrant reveal what s/he knows to the incumbent?



H. Hawk-Dove and evolutionary strategies.

1. An evolutionary stable strategy is when for every other strategy's $i, \pi_i(s_i^*, s_i^*) > \pi_i(s_i', s_i^*)$ or when $\pi_i(s_i^*, s_i^*) = \pi_i(s_i', s_i^*)$, then $\pi_i(s_i^*, s_i') > \pi_i(s_i', s_i')$. In other words everyone adopts the same underlying strategy in either a **live and let live** or **kill and be killed** manner. In an international context, the question arises why

companies would choose not to invade one another's markets. The ESS helps to explain why.

2. Consider circumstances where two companies, can go head to head in direct competition or keep out of each other's territory. Going head to head costs the loser 4 units and 2 units goes to the winner. If they agree to split the market, each gets a unit. The payoffs are below.
3. The Hawk-Dove game has no symmetric Nas equilibrium, since it always pays to be aggressive when the other partner wants to cooperate. Attacking companies would not dominate since if the world was full of competing companies a cooperative company would come in and at least get 0 (or an attacking company could simply quite being aggressive). The reverse is true too. In a world of cooperating companies and aggressor makes out quite well.
4. The solution is once again a mixing strategy. Because of the symmetry here, it is simple to see that 50% of the time you cooperate and 50% of the time you attack. The idea is that in equilibrium the company should be indifferent in to the two strategies. Hence the reason why it appears that companies cooperate and attack internationally.

		COMPANY A	
		Attack	Cooperative
COMPANY B	Attack	-1, -1	2, 0
	Cooperative	0, 2	1, 1

(A,B) Payoffs

5. Tit for tat is an evolutionary strategy which shows remarkable resilience. It appears to work because of specific characteristics that allows it to reveal information, avoid catastrophic wars, and once aggressive to back off aggression.

These characteristics are:

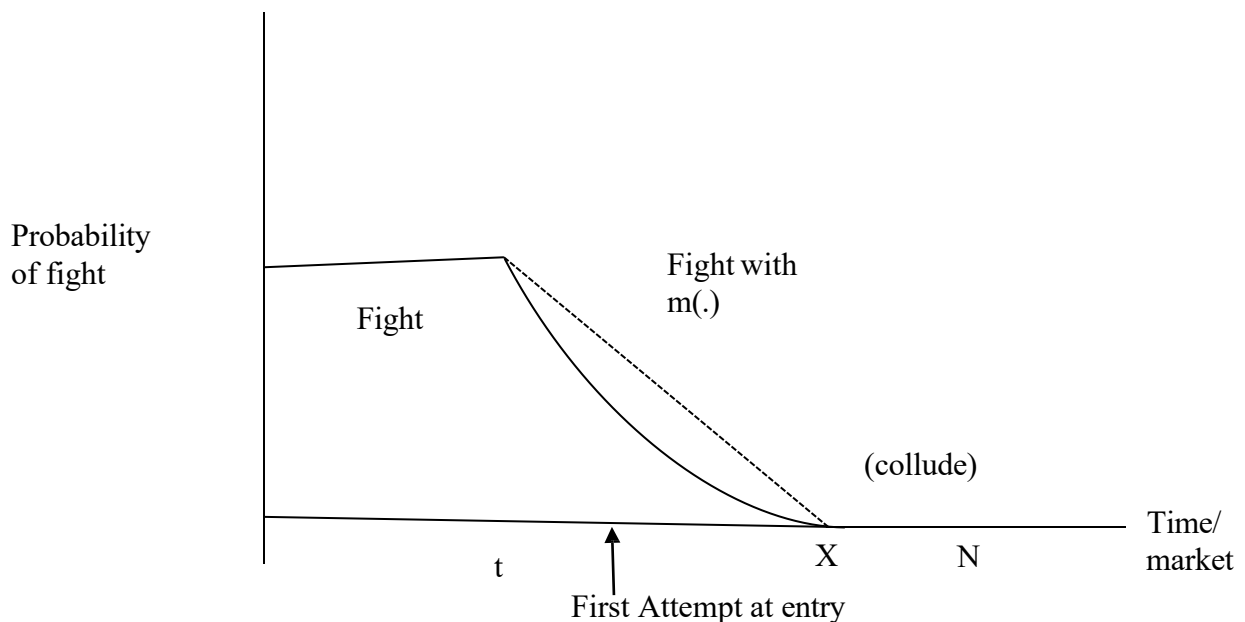
- ✓ *Niceness*- it never initiates the bad option (e.g attack)
- ✓ *Provokability*- it retaliates instantly, like for like.
- ✓ *Forgiveness*- it forgives an attacker who returns to cooperation

Tit for tat works well in long drawn out games. It falls in elimination tournaments (since it gets kicked off early) and in tournaments where players attack accidentally (e.g, two tit for tat players would constantly be beating each other: however, Tit for two Tats might work). It is also a second best strategy that would be dominated by known Nash equilibria if information about the environment was better (e.g common knowledge existed). Its advantage is that it is robust across environments

1. Reputable and predatory behavior.

1 consider the chain stone problem again except assume that there is a natural order to the markets that can be entered (if upward)

2. The result is that the entrant will wait and allow the incumbent to keep the early markets. Beyond some points it does not pay for the incumbent to protect the market because the value of the reputation is declining with the number of markets. Therefore the greater the scope of coverage by the incumbent the greater the likelihood that defense would occur.



IV Summary

- A. In international business there are several classic games that appear to be played over and over. The key to understanding the strategies played are their (expected) outcomes given the structure of the world (game). Here are some of the general conditions that seem determine the outcome of the rivalries.
1. The relative size of the players. Small players entering large player's tend to be ignored since the cost of reacting in a general way is simply more great. Small players are attacked only if they can be attached selectively or if there are many potential small players and are reputation needs to be created.
 2. The most and least intensive rivalries occur between structurally identical players. With identical players (cost and demand are assumed to be similar) common knowledge is most likely a reasonable assumption. Tacit collusion is one possible outcome, however, a capacity tournament (chicken) is another as it follow the Leader or Hawk-Dove. Identical economic circumstances tends to lead to similar strategies and hence symmetry in the payoffs
 3. Situations with the payoffs are sometimes resolvable through takeovers or other forms of side-payments. Classic prisoners dilemma conflicts are normally resolvable by internalization or rationalization
 4. Reputation effects based on anything but economic self interest are normally not credible. Reputation effects lose their value as the end of the game approaches, therefore once they are lost the normally remain lost.
 5. Flexible strategies like Tit for Tat fail in short run circumstances (e.g in a world with high discount rates) and where there are radical asymmetries, as do other evolutionary strategies.
 6. Lack of knowledge does not necessarily lead to a situation where the informed player is better off. Dealing with a less knowledgeable rival constrains the informed player sometimes to the point that 'ignorance is bliss" (i.e the outcome would be better if both players were uninformed)

2.5: The political Imperative in Global Business

Political arguments for government intervention cover a range of issues, including preserving jobs, protecting industries deemed important for national security retaliating against unfair foreign competition, protecting consumers from "dangerous " products, furthering the goals of foreign policy and advancing the human rights of individuals in exporting countries.

Protecting jobs and industries: perhaps the most common political arguments for government intervention is that it is necessary for protecting jobs and industries from unfair foreign competition. The tariffs placed on imports of foreign steel by President George W. Bush in March 2002 were designed to do this. (Many steel producers were

located in states that Bush needed to win reelection in 2004). A political motive underlay establishment of the Common Agriculture Policy (CAP) by the European Union. The CAP was designed to protect the jobs of the Europe's [politically powerful farmers by restricting imports and guaranteeing prices. However, the higher prices that resulted from the CAP have cost Europe's consumers dearly. This is true of most attempts to protect jobs and industries through government intervention. For example, the imposition of steel tariffs in 2002 raised steel prices for Americans consumers, such as automobiles companies, making them less competitive in the global marketplace.

National Security: Countries sometimes argue that it is necessary to protect certain industries because they are important for national security. Defense-related industries often get this kind of attention (eg , aerospace , advanced electronics, semiconductors, etc) although not as it used to be , this argument is still made. Those in favor of protecting the US semiconductor industry from foreign competition for example, argue that semiconductors are now such important components of defense products that it would be dangerous to rely primarily on foreign producers for them

In 1986, this argument helped persuade the federal government to support Sematech, a consortium of 14 US semiconductor companies that accounted for 90% of the US industries' revenue . semstech's mission was to conduct joint research into manufacturing techniques that can be parceled out to the members. The government saw the venture as so critical that Sematech was specially protected from antitrust law. Initially, the US government provided Sematech with 100% million per year in subsidies. By the mid 1990s , however, the US. Semiconductor industry had regained its leading market position , largely through the personal computer boom and demand for microprocessor chips made by intel. In 1994, the consortium's board voted to seek an end to federal funding, and since 1996 the consortium has been funded entirely by private money.

Retaliation: Some argue that government should use the threat to intervene in trade policy as a bargaining tool to help open foreign markets and force trading partners to "play by the rules of the game". The US government has used the threat of punitive trade sanctions to try to get the Chinese government to enforce its intellectual property laws. Lax enforcement of these laws had given rise to massive copyright infringements in China that had been costing US companies such as Microsoft hundreds of millions of dollars per year in lost sales revenues. After the US threatened to impose 100% tariffs on a range of Chinese imports and after harsh words between officials from the two countries, the Chinese agreed to tighter enforcement of intellectual property regulations.

If it works, such a politically motivated rationale for government intervention may liberalize trade and bring with it resulting economic gains. It is a risky strategy, however. A country that is being pressured may not back down and instead may respond to the imposition of punitive tariffs by raising trade barriers of its own. This is exactly what the Chinese government threatened to do when pressured by the US although it ultimately did back down. If the government does not back down, however, the results could be higher trade barriers all around and an economic loss to all involved.

Protecting Consumers: Many governments have long had regulations to protect consumers from unsafe products. The indirect effect of such regulations often is to limit or ban the importation of such products. In 1998, the US, government decided to permanently ban imports of 58 types of military- style assault weapons. (The United firms). The ban was motivated by a desire to increase public safety. It followed on the heels of a rush of random and deadly shootings by deranged individuals using such weapons, including one in President Clinton's home state of Arkansas that left four children and a schoolteacher dead.

The accompanying Country Focus describes how the European Union banned the sale and importation of hormone-treated beef. The ban was motivated by a desire to protect European consumers from the possible health consequences of eating meat from animals treated with growth hormones. The conflicts over the importation of the hormone – treated beef into EU may prove to be a taste of things to come. In addition to the use of hormones to promote animal growth and meat production, biotechnology has made it possible to genetically alter many crops so that they resist common herbicides, produce proteins that are natural insecticides, grow dramatically improved yields, or withstand inclement weather conditions. A new breed of genetically modified tomatoes has an antifreeze gene inserted into its genome and can thus be grown in colder climates than hitherto possible. Another example is a genetically engineered cotton seed produced by Monsanto. The seed has been engineered to express a protein that protects against three common insect pest: the cotton bollworms, tobacco budworms, and pink bollworms. Use of this seed reduces or eliminate the need for traditional pesticides applications for these pests.

As enticing as such innovations sound, they have met with intense resistance from consumer groups, particularly in Europe. The fear is that the widespread use of genetically altered seed corn could have unanticipated and harmful effects on human health and may result in “genetic pollution”. (An example of genetic pollution would be when the widespread use of crops that produce natural pesticides stimulate the evolution of “superbugs” that are resistant to those pesticides). Such concerns have led Austria and Luxembourg to outlaw the importation, sale, or use of genetically altered organs.

Furthering Foreign Policy Objective: Government sometimes use trade policy to support their foreign policy objective. A government may grant preferential trade terms to a country with which it wants to build strong relations. Trade policy has also been used several times to pressure or punish “rogue states” that do not abide by international law or norms. Iraq labored under extensive trade sanctions after the UN coalition defeated the country in the 1991 Gulf War until the 2003 invasion of Iraq by US-led forces. The theory is that such pressure might persuade the rogue state to mend its ways, or it might hasten a change of government. In this case of Iraq, the sanctions were seen as a way of forcing that country to comply with several UN resolutions. The US has maintained long –running trade sanctions against Cuba. Their principle function is to impoverish Cuba in the hope that the resulting economic hardship will lead to the downfall of Cuba's Communist government and its replacement with a more democratically inclined (and pro-US) regime. The US also has had trade sanctions in place against Libya and Iran, both of which it accuses of supporting terrorists action against US. Interests and building

weapons of mass destruction. In late 2003, the sanctions against Libya seemed to yield some returns when that country announced it would terminate a program to build unclear weapons, and the US government responded by relaxing those sanctions.

Other countries can undermine unilateral trade sanctions. The US sanctions against Cuba, for example, have not stopped other western countries from trading with Cuba. The US sanctions have done little more than help create a vacuum into which other trading nations, such as Canada and Germany, have stepped. In attempted to halt this and further tighten the screw on Cuba, in 1996 the US Congress passed the **Helms-Burton Act**. This act allows Americans to sue foreign firms that use property in Cuba confiscated from them after the 1959 revolution. Late in 1996, Congress passed a similar law, the **D'Amato Act**, aimed at Libya and Iran

Protecting Human Rights: protecting and promoting human rights in other countries is an important element of foreign policy for many democracies. Government sometimes use trade policy to try to improve human rights policies of trading partners. For years, the most obvious example for this was the annual debate in the United States over whether to grant most favored nations(MFN) status to China. MFN status allows countries to export goods to the United States under favorable terms. Under MFN rules, the average tariff on Chinese goods imported into United States was 8%. If China's MFN status were rescinded, the tariffs could have risen to about 40%. Trading partners who are signatories of the World Trade Organization, as most are, automatically receive MFN status. However, China did not join the WHO until 2001, so historically the decision of whether to grant MFN status to China was a real one. The decision was made more difficult by the perception that China had a poor human right record.

As the indicators of the country's disregard of human rights, critics of China often point to the 1989 Tiananmen Square massacre, China's continuing subjugation of Tibet (which China occupied in the 1950s), and the squashing of political dissent in China. These critics argue that it was wrong for the United States to grant MFN status to China and that instead, the United States should withhold MFN status until China showed measurable improvements in its human rights record. The critics argue that trade policy should be used as a political weapon to force China its internal policies toward human rights.

2.6 Contemporary Global Business Environment

The political relations between a company's home country and the nation in which it does business affect its international business activities. Favorable political relationships foster stable business environments and increase international cooperation in many areas, including the development of the international communications and distribution infrastructures. In turn, a stable environment requires a strong legal system through which disputes can be resolved quickly and fairly. In general, favorable political relations lead to increased business opportunity and lower risk.

To generate stable business environments, some countries have turned to multilateral agreements- treaties concluded among several nations, each of whom agree to abide by treaty terms even if tension develop. According to the European Unions founding treaty,

services, goods and citizens of member nations are free to move across members' borders. Every nation must continue to abide by such terms even if it has a conflict with another member

2.7 Topic summary



Global business strategy are closely related to the business developing strategies adopted by businesses to meet their short and long term objectives

Global business strategy have emerged as a result of globalization and internationalization of established domestic companies which is purported to increase the value of the company in question. Increasing pressure of globalization and the rising global competition

Global business strategy formulation is concerned with designing means to match unique company resources with overseas market opportunities to accomplish competitive advantage

Political arguments for government intervention cover a range of issues, including preserving jobs, protecting industries deemed important for national security retaliating against unfair foreign competition, protecting consumers from dangerous products, furthering the goals of foreign policy and advancing the human rights of individuals in exporting countries

2.8 Work to do



1. Describe the global business environment and identify its four main elements
2. Explain how international relations affect international business activities
3. Identify the origin of political risk and how managers can reduce its effect
4. Describe the purpose of government intervention in the global business
5. Describe the relevance of the move and countermove theory in the global business

2.9 Further Reading



1. Nyirabu , Mohabe (2003), :Lessons Lernt from Past Experiences of Integration in the East Africa Community .” report of Workshop on Deepening Integration in the East African Community held from 8-9 September 2003 at the UN Conference Center , Addis Ababa, Ethiopia.
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TOPIC 3

Multinational Corporation

Introduction



This topic discusses the multinational corporations. It attempts to provide a definition for multinational corporations and explores why multinational corporations establish businesses in foreign countries. It also addresses the fairly controversial issue of the costs and benefits that multinational corporations accrue to developing countries, besides highlighting some of the challenges that multinational corporations face when operating in developing countries.

3.1 Topic Objective



By the end of the topic the students should be able to; describe a MNCs, and why they establish in foreign countries, costs and benefits of MNCs and the challenges faced by the MNCs

3.1.1 What are Multinational Corporations?

There is no universally agreed upon definition of Multinational corporation(MNCs). Various scholars have offered suggestions, but none seems to have been fully accepted. Part of the definitional problem seems to stem from the complex nature of the global activities: there are international companies, global companies, transnational companies in global industries and multinational companies.

Generally, MNCs can be defined as large companies that compete on a global basis often in single industry such as Shell/BP in energy (fuel), Nestle in food, Unilever in food, Price Waterhouse Coopers in management accounting and auditing, Vodafone in telecommunications, among others. It is also not uncommon to find MNCs that have major businesses in several unrelated industries such as power systems , plastics, medical equipment , entertainment and financial services. MNCs have a size or scale requirement

that exceed the size of a single national market; treat the world as though it were a single market; and have a centralized strategic leadership that coordinates global management but a decentralized operational management that is different to national origin. The MNCs can consists of a network of loosely organized national companies, competing locally against others in a single country setting . they can also behave like global companies pursuing centrally directed strategies that take advantage of their global power and resources to compete successfully in domestic markets in which they have operations. This means that MNCs compete both locally and internationally

There are three different features or traits of MNCs. These are;

- I) The modern MNC is a very large and complex organization
- II) MNCs have a strong tendency to produce differentiated, technologically intensive products in relatively concentrated industries
- III) MNCs have a relatively higher rate of performance, as measured both by profits and by growth as compared to national industries.

3.2 Why Do MNCs Establish Businesses in Foreign Countries?

There are a number of factors that influence the decision by MNCs to establish businesses in foreign countries. These may either be a pull factor originating from a particular opportunity that is presented by the foreign location or a pull factor that emanates from an internal strategic growth policy of MNCs

One of the factors that make MNCs to establish in foreign countries, especially the developing countries is existence of cheaper sources of labour. Most developing countries operate under a wage regime that prescribes generally low wages as compared to those payable in the developed countries. Even tough most of the developing countries have minimum wage laws, the said laws stipulate relatively low statutory minimum wages and other terms and conditions of employment. This is mainly attributed to the fact that majority of the developing countries are labour surplus economies characterized by high levels of unemployment and rampant poverty. Consequently, the country legislates minimum wage laws that are relatively low in order to attract investments and encourage investors to adopt capital –saving-labour-intensive techniques of production to promote employment creation. Given that labour cost is a major component of the cost of production and determinant of industrial competitiveness, MNCs are normally attracted to establish the countries with low labour costs.

Flexibility in regulations is also another important factor that influences MNCs to establish businesses in foreign countries. MNCs mostly look for the indices measuring important market fundamentals such as the labour market rigidity, extent of flexibility of trade regulations, taxation laws, exchange rate regulations and the rigidity or flexibility of other legal and regulatory framework that supports business operations . MNCs would therefore be attracted to establish businesses in foreign countries where the regulations are more flexible and easy to comply with than in countries where it is difficult to comply with the regulations. This is an important consideration since the more stringent the regulations in the country are, the more costly it is to operate in the country.

Kenya has consistently been ranked as one of the countries where the regulation for firing workers is highly stringent. This is because the country's labour laws provide for the minimum statutory notice period for one month to be accorded to the employee before he/she is discharged from employment and a severance pay of about a month for every completed year of service. This means that the cost of hiring may at times be higher than the cost of retaining employees. Most companies MNCs included, however, want more flexibility and autonomy in the management of employee-employer relations. Consequently, they may not be readily attracted to establish businesses in the countries with such kind of rigidities.

A number of MNCs are also attracted to establish businesses in the countries that offer business incentives. For example, in the case of Kenya, a number of MNCs especially in the textile sector were attracted by incentives regimes that came under the Export Processing Zones (EPZs). The EPZ incentive regime provides exporting firms with a 10-year tax holiday, unrestricted foreign ownership and employment, and freedom to repatriate unlimited amount of earnings. The firms are also exempted from observing some core labour laws and regulations. For example until 2003, trade unions could not organize workers in the EPZ firms. In addition, the now repealed factories Act (Chapter 514) was not being enforced in the zones. The EPZ have also enjoyed from enormous market prospects presented by the tariff and quota advantages granted under the US-led African Growth Opportunity Act (AGOA) and the African. Caribbean and pacific European Union (ACP-EU) Cotonou agreement. These incentive schemes and flexible regulations have attracted a number of MNCs in the country.

Along the same lines, growth and development of the MNCs have increased considerably particularly in the developing countries as these countries adopted more open outward oriented approaches to economic growth and the development. For instance in Kenya a considerable number of MNCs have come up since abolition of the inward oriented import substitution strategy in the 1990s. by the beginning of 1990s, the importance of the inward looking development strategy had started waning. A review of the strategy showed that the inward looking strategy discouraged export promotion and resulted in the consistent shortage of foreign exchange. In addition, the world had started moving towards opening up of trade. Kenya had to embark on economic reforms as a pre-condition for receiving aid. Arising from these developments the government embarked on a reform program to promote trade, among other national growth and development areas. Some of the incentives provided by the government to promote these are; manufacturing under bond scheme, removal of export licensing and price controls, pursuance of flexible exchange rate systems, trade licensing reforms and rationalization and removal of duties. These reform initiatives attracted MNCs to establish operations in Kenya.

It is also noted that as local markets throughout the world are being deregulated and liberalized foreign firms are looking to locate part of the production process in other countries where there are costs advantages. Although developing countries may present

high levels of risks, they also present the potential for higher levels of profits due to their relatively low production cost structures.

The quest for profit maximization is also another factor that influences the decision of MNCs to establish businesses in foreign countries. MNCs will go to foreign countries if they find that the countries present better profit maximization opportunities than in the domestic countries. Also related to this is the desire by the MNCs to find new markets for their products, and bring awareness of the products to different people, territories and countries. Thus the MNCs will decide to establish in foreign countries in pursuit of maximization of sales, profits and growth. It is for this reason that many developing countries present destinations of most MNCs since most of the developing countries have growing economies and increasing incomes, which provide future growth markets for the MNCs.

MNCs also influence in the foreign countries because of the availability and proximity to raw materials. For example, Unilever's section dealing with tea is located in countries that produce tea. This is necessitated by the fact that green leaf tea is highly perishable and requires processing within 24 hours for quality tea. It is for this reason that the MNC is located in Kericho (Kenya) with another unit in Uganda to process the tea produced in the two countries.

Other factor that determine why MNCs establish in foreign countries and in which particular ones are political stability, state of infrastructure, stock of skills available in the economy, among others. A country may possess very good business opportunities for MNCs but if it is politically unstable, then no MNC or any other company will establish there. This is because a country that is politically volatile presents enormous risks. Infrastructure is an important factor that influences business decisions and this also enter into the decision functions of MNCs. Since the goal of the most MNCs is to maximize sales, profits and growth, infrastructure is the most variable that will influence their decision to establish in a given country. The same goes with the stock of skills that are available in a given country as this will lower the cost of recruitment.

3.3 What Costs and Benefits Do MNCs Accrue to Developing Countries

A number of arguments have been advanced concerning the costs and the benefits of MNCs. The following are some of the costs and benefits of the MNCs

3.3.1 Benefits of MNCs

One of the benefits of MNCs is the capacity to inject into the local economy. If an MNC is established in a country or invest in an area, it may result in a significant injection into the local economy. This may provide jobs directly or through the growth of local ancillary businesses such as banks and insurance. Such investment is likely to initiate multiplier process generating more income as newly employed workers spend their wages on consumption and other economic activities.

MNCs may also provide training and education for employees thus creating a higher skilled labour force. These skills may be transferred to other areas of the host country, which adds into the stocks of skills within the community, and the country in general. It

is proven that management and entrepreneurial skills learnt from MNCs are an important source of human capital.

MNCs are also credited for paying taxes and contributing to government revenue. Since MNCs mostly have huge turnovers and in most cases declared considerable amounts of profits, the corporate tax which the government collects from them is generally higher. In addition, in a situation where the products produced by the MNCs are sold locally the sale attracts a sale tax which also adds to government revenue, this is true even if the MNCs products are exported as there is always export duty to be paid, especially where such is not part of incentive scheme. Furthermore, MNCs contributes to government revenue if they purchase existing national assets through the privatization process.

It has also been argued severally especially by the outward oriented economists, that the cycles of poverty will not be broken from within the domestic economy. Such arguments maintain that the level of investment needed to raise productivity and incomes capable of breaking the vicious cycle of poverty cannot be mobilized from within the economy. This argument follows the big push theory. In such a situation, foreign direct investment through the MNC investment is essential.

3.3.2 Costs of MNCs

One of the costs of MNCs is that they may employ largely expatriate managers. This will ensure that the incomes generated are maintained within a relatively small group of people. This is because the attraction for the MNCs may be the large supply of cheap manual labour whom they can employ at low wages. This may contribute to a widening of the income distribution. It will also not lead to the transfer of management skills due to the relatively limited adaptive and skill absorptive of the manual unskilled workers.

It is also noted that investment by MNCs in developing countries often involves the use of capital intensive production methods. Given that many developing countries are often endowed with potentially large low wage labour forces and have high levels of unemployment, the capital intensive investments by the MNCs therefore presents inappropriate technology. Most growth and development policies and developing countries agitate for the use of labour intensive production methods as an instrument of creating employment and income generating opportunities. This is critical even for poverty reduction, which is consistently reflected by the developing countries as their growth and development priorities. Thus if an MNC is capital intensive as is always the case, then any resulting growth might be considered anti developmental.

Another cost of MNCs is that they often engage in transfer pricing. This is situation whereby the MNCs shift production between countries so as to benefit from lower tax arrangements in certain countries. By doing this they can minimize their tax burden and the tax revenue of national governments. This means that they will deny the host countries the most needed revenue for the growth and development of the countries in question

One of the traits of the MNCs is that they have a size or scale requirements that exceed the size of a single national market, and they often treat the world as though it were a single market. This means that the MNCs can use their considerable power to exert

influence on governments to gain preferential tax concessions and subsidies and grants. Depending on how such concessions are designed and administered, they can bring distortions within the economy, including elements of discriminatory tendencies by the government.

It is granted by investing in areas and utilizing the factors of production where the developing countries have an absolute and comparative advantage, MNCs will lead to a more efficient allocation of the worlds' resources. However, if such activities by the MNCs lead to overspecialization and overdependence in certain sectors of the economy then the host country will be vulnerable especially if the MNC decides for whatever reasons, to leave the country in the future

3.4 Challenges Faced by the MNCs

MNCs face a lot of challenges when operating in foreign countries. Most of the operational challenges are manifested in the developing countries more than the ones experienced in the developed countries. The challenges include;

Poor Governance: Most developing countries where the MNCs are located face problems of poor governance. This also inhibits the effective operation of the MNCs. For example, although Kenya has a relatively comprehensive commercial and regulatory framework, based on the British model and the basic institution necessary for their implementation and for markets to function, corruption and poor governance have undermined the effectiveness to the point of creating widespread mistrust of the courts, making both enforcement of contracts and security and resolution of disputes very difficult. Corruption in key areas such as the customs administration have also impacted on transaction costs, through delays and payments necessary to release imported goods arriving at the ports. Poor governance has also taken the form of occasional government intervention for political reasons, in the working of the regulatory bodies or even in the running of private firms. All of this has made it difficult for MNCs and other private investors to operate as they are not assured of the sustainability and predictable of reforms.

Weak Legal and Administrative Framework: The legal and administrative framework is a key element of the investment climate and effective operation of any enterprise, MNCs included. MNCs depend on effective operation of markets. For markets to function effectively in a globalized environment, legal and regulatory institutions must be in place, providing a body of legislation to enable corporate entities to function, contracts to be drawn up and enforced and collateral to be pledged and enforced, as well as providing clear rules governing entry and exits, competition and the tax regime. It is almost evident that legal and regulatory framework deficiencies exists in most countries and these poses a challenge to the operation of most MNCs.

Inadequate skilled Labour Forces: The human resource structure of most MNCs requires the use of highly skilled labour force, especially from the middle level management position. However, such highly skilled manpower are deficient especially in developing countries where the MNCs are established. Thus recruitment of the

appropriate number of competent and skilled manpower becomes a challenge to effective operation of the MNCs. This challenge may be compounded by rigid work permit entry requirements that may have been put in place by the country. Related to this is the issue of the skills mismatch that is found in the most countries, particularly the developing countries. Most of the developing countries operate under obsolete and outdated curricula, poorly equipped training institutions with weak instructional capacities. Many of the MNCs have lost confidence in the local training and conduct their own enterprise-based training. This adds to the costs of labour and employment difficulties.

Low Labour Productivity: low productivity is central to the competitiveness of MNCs and their growth potential. Labour productivity in most developing countries is low as compared to those of other economies competing in the same global markets. The low level of labour productivity if augmented with high labour costs that is manifested in some countries, especially due to labour market rigidities is an important factor that hinders effective operation of MNCs.

Poor infrastructure : Good and effective infrastructure is critical for effective operation of MNCs. Efficient infrastructure is important in improving the livelihood and state of security in a country. Infrastructure in this case encompasses transport, telecommunications, energy, water, sewerage and sanitation and meteorological services. These infrastructure facilities are highly limited in most countries, especially in developing countries. Such deficiencies pose a great challenge to the effective operation of MNCs. The operational constraints that MNCs face in regard to poor infrastructure are in terms of production losses due to power outages and delays in power connections, high costs of telecommunications and slow connections, especially internet, shortage of water, poor or dilapidated roads and almost non-existent railway system delays and congestion at ports entry and infrequent flights.

3.5 Topic Summary



MNCs can be defined as large companies that compete on a global basis often in single industry such as Shell/BP in energy (fuel), Nestle in food, Unilever in food, Price Waterhouse Coopers in management accounting and auditing

Factors that influence the decision by MNCs to establish in foreign countries, may either be a pull factor originating from a particular opportunity that is presented by the foreign location or a pull factor that emanates from an internal strategic growth policy of MNCs

Growth and development of the MNCs have increased considerably particularly in the developing countries as these countries adopted more open outward oriented approaches to economic growth and the development

MNCs also influence in the foreign countries because of the availability and proximity to raw materials

3.6 Work to do



1. Identify the types of companies that participate in international business
2. Describe MNCs and their features
3. What are the challenges faced by the MNCs
4. Giving examples determine why MNCs establish businesses in the foreign countries
5. Describe the costs and the benefits that the MNCs accrue to the developing countries

3.7 Further reading



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TOPIC FOUR

Social and Ethical Concerns in Global Business

Introduction



In this topic we define ethics, and describe its issues and social obligations in the Global Business

4.1 Topic Objective



By the end of the topic the student should be able to

- ✓ Describe what ethical issues are.
- ✓ Describe the social obligations in global business.
- ✓ Describe the ethical issues involved in the global business.
- ✓ Describe ethical dilemmas.

Many of the ethical issues in international business are rooted in the fact that political systems, law, economic development and culture vary significantly from nation to nation. What is considered normal practice in one nation may be considered unethical in another. Because they work for an institution that transcends national borders and cultures, managers in an international firm need to be particularly sensitive to these differences.

4.2 Contemporary Ethical Issues in (Global) Business

In the international business setting, the most common ethical issues involve - employment practices, human rights, environmental regulations, corruption and the moral obligation of the multinational corporation.

Employment practices: when work conditions in a host nation are clearly inferior those in a multinational's home nation, what standards should be applied? Those of the home nation, those of the host nation, or something in between? While few would suggest that pay and work conditions should be the same across nations, how much divergence is acceptable? For example, while 12-hour-work-days, extremely low pay, and a failure to protect workers against toxic chemicals be common in some developing nations, does this mean that it is okay for a multinational to tolerate such working conditions in its subsidiaries there, or to condone it by using local subcontractors

Human Rights: questions of human rights can arise in the international business. Basic human rights still are not respected in many nations. Rights that we take for granted in developed nations, such as freedom of association, freedom of speech, freedom of assembly, freedom of movement, freedom from political repression are no means universally accepted . for example South Africa during the days of white rule and apartheid, which did not end until 1994. The apartheid system denied basic political rights to the majority non-white population of South Africa, mandated segregation between whites and non-whites, reserved certain occupations exclusively for whites. Despite the odious nature of this system, Western businesses operated in South Africa. By the 1980's however, many questioned the ethics of doing so. They argued that inward investment by foreign multinationals

Environmental Pollution: Ethical issues arise when environmental regulations in the host nations are inferior to those in the home nation. Many developed nations have substantial regulations governing the emission of pollutants, the dumping of toxic chemicals, the use of toxic materials in the work place etc. such regulations are often lacking in the developing nations, and according to critics the result can be higher levels of pollution from the operations of multinationals than would be allowed at home. For example, consider the case of foreign oil companies in Nigeria. According to a report prepared by environment activists in Nigeria, in the Niger Delta region.

Corruption; this has been a problem in almost every society in history, and it continues to be one today. There always have been and always will be corrupt officials. International businesses can and have gained economic advantages by making payments to those officials.

Moral obligations; Multinational corporations have power that comes from their control over resources and their ability to move production from country to country. although that power is constrained not only by law and regulations but also by the discipline of the market and the competitive process, it is nevertheless substantial. Some moral philosophers argue that with power comes the social responsibility for multinationals to to give something back to the society that enable them to prosper and grow.

4.2.1 Ethical Dilemmas

The ethical obligations of a multinational corporation toward employment conditions, human rights, corruption, environmental pollution, and the use of power are not always

clear-cut. There may be no agreement about accepted ethical principles. From an international business perspective, some argue that what is ethical depends upon one's cultural perspective.

For example, in the United States, it is considered acceptable to execute murderers, but in many other cultures execution is viewed as an affront to human dignity and the death penalty is outlawed. Many Americans find this attitude strange, but many Europeans find the American approach barbaric.

For a more business-oriented example, consider the practice of 'gift giving' between the parties to a business negotiation. While this is considered right and proper behavior in many Asian cultures, some Westerners view the practice as a form of bribery, and therefore unethical, particularly if the gifts are substantial.

4.3 Social Obligations in Global Business

The concept of social responsibility refers to the idea that business people should consider the social consequences of economic actions when making business decisions and that there should be a presumption in favour of decisions that have both good economic and social consequences.

In its purest form social responsibility can be supported for its own sake simply because it is the right way for a business to behave. Advocates of this approach argue that businesses, particularly large successful businesses, need to recognize their **nobles oblige** and give something back to the societies that have made their success possible. *Nobles oblige* is a French term that refers to the honorable and benevolent behavior considered the responsibility of people of high (noble) birth. In a business setting, it is taken to mean benevolent behavior that is the responsibility of successful enterprise. This has long been recognized by many businesspeople, resulting in a substantial and venerable history of corporate giving to the society and in businesses making society investments designed to enhance the welfare of the communities in which they operate.

Some multinationals have acknowledged a moral obligation to use their power to enhance social welfare in the communities where they do business. BP, one of the world's largest oil companies, has made it part of the company policy to undertake "social investments" in the countries where it does business. In Algeria, BP has been investing in a major project to develop gas fields near the desert town of Salah. When the company noticed the lack of clean water in Salah, it built two desalination plants to provide drinking water for the local community and distributed containers to residents so they could take water from the plant to their homes. There was no economic reason for BP to make this social investment, but the company believes it is morally obligated to use its power in constructive ways. The action, while a small thing for BP, is a very important thing for the local community.

4.4 Topic Summary



The most common ethical issues involve; employment practices, human rights, environmental regulations, corruption and the moral obligation of the multinational corporation

Social responsibility refers to the idea that business people should consider the social consequences of economic actions when making business decisions and that there should be a presumption in favour of decisions that have both good economic and social consequences

Multinationals have acknowledged moral obligation to use their power to enhance social welfare in the communities where they do business

4.5 Work to do



- ✓ Describe the ethical issues in the global business
- ✓ Explain the social obligations in the global business

4.6 Further reading



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TOPIC FIVE

Economic integration

Introduction



A group of countries can come together and reduce or completely eliminate trade barriers amongst the member countries while maintaining them against the rest of the world. The degree of the economic integration ranges from preferential trade arrangements to free trade areas, custom unions, common markets and monetary union. A political federation is the highest form of integration between countries

5.1 Topic Objectives



By the end of the topic the student should be able to;

- Describe:PTA, FTA, custom union, common market, economic and monetary union
- Describe the effects custom union
- Benefits from the custom union
- Describe the fall of the old East Africa
-

Regional integration refers to the process of states coming together to sign agreements where they agree to cooperate in certain areas common to them. This process is overseen by the governments of the specific states. Regional cooperation can take different forms, depending on the objectives of the states that are involved. States may want to come together for economic reasons or even further to form a political alliance or union. History shows us, many states across the globe enter into regional agreements for economic purpose.

Economic integration can be classified in five additive levels, each present in the global landscape:

- Free trade. Tariffs (a tax imposed on imported goods) between member countries are significantly reduced, some abolished altogether. Each member country keeps its own tariffs in regard to third countries. The general goal of free trade agreements is to develop economies of scale and comparative advantages, which promotes economic efficiency.
- Custom union. Sets common external tariffs among member countries, implying that the same tariffs are applied to third countries; a common trade regime is achieved. Custom unions are particularly useful to level the competitive playing field and address the problem of re-exports (using preferential tariffs in one country to enter another country).
- Common market. Services and capital are free to move within member countries, expanding scale economies and comparative advantages. However, each national market has its own regulations such as product standards.
- Economic union (single market). All tariffs are removed for trade between member countries, creating an uniform (single) market. There is also free movements of labor, enabling workers in a member country is able to move and work in another member country. Monetary and fiscal policies between member countries are harmonized, which implies a level of political integration. A further step concerns a monetary union where a common currency is used, such as with the European Union (Euro).
- Political union. Represents the potentially most advanced form of integration with a common government and where the sovereignty of member country is significantly reduced. Only found within nation states, such as federations where there is a central government and regions having a level of autonomy.

As the level of economic integration increases, so does complexity. This involves a set of numerous regulations, enforcement and arbitration mechanisms. Complexity comes at a cost that may undermine the competitiveness of the areas under economic integration since it less flexibility to national policies. A devolution of the economic integration could occur if the complexity it creates is no longer judged to be acceptable by its members.

5.2 The Theory of Customs Union

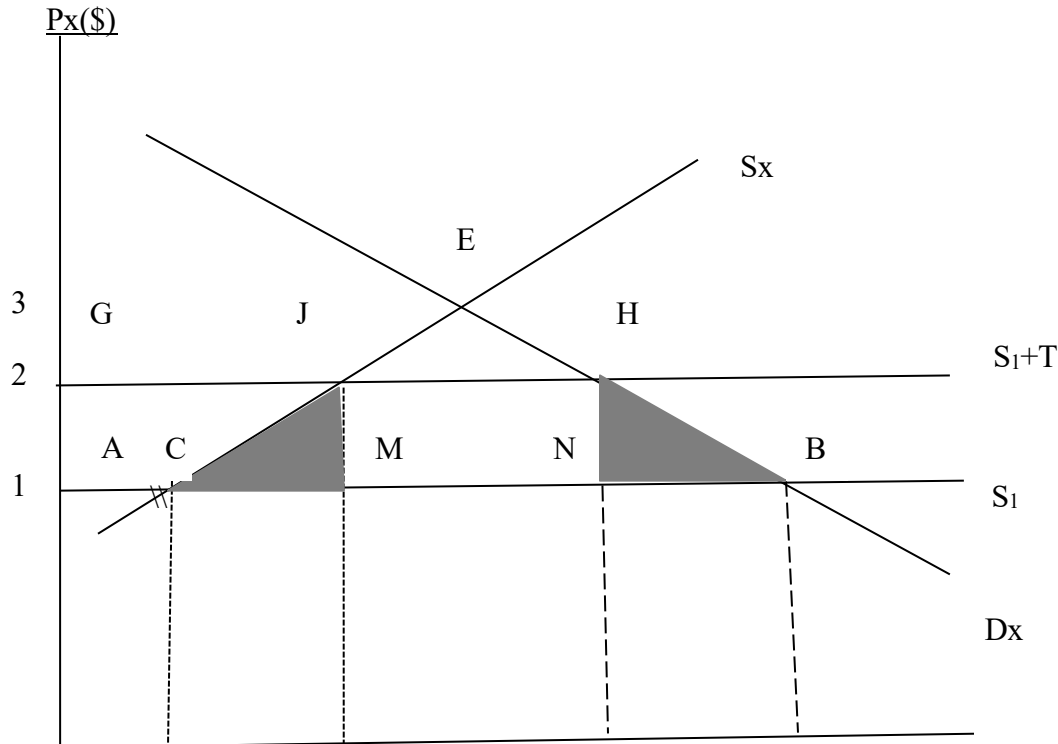
A custom union is an organisation that includes two or more countries. They abolish tariff and other trade restrictions among themselves and adopt a common external tariff against the non-member countries.

The effects of customs union on production, consumption and trade, given the above assumptions, can be explained in terms of trade creation and trade diversion due to customs union.

5.2.1 Trade- Creation Customs Union

Trade creation is said to have occurred when some domestic production in a member nation of the customs union is replaced by lower cost imports from another member nation. The implication of this to the welfare of the member nations is to enhance specialization in production based on comparative advantage. The welfare effect of a trade-creating customs union is illustrated in a partial equilibrium in figure 4.1

Fig 5.1 A trade-creating customs union in partial equilibrium



- Assume that D_x and S_x are the domestic demand and supply curves of commodity X of a “home” country
- Further assume that the free trade price of commodity X is $P_x = \$1$ in partner country, and $P_x = \$1.50$ in the rest of the world.
- Assuming that the home country is small, it will have no effects on these prices.

- An imposition of 100% nondiscriminatory ad valorem tariff on all imports of commodity X will increase the domestic price of goods from the partner country to \$2 and the price of the rest of the world to \$3.
- This implies that it is cheaper for the home country to import from the partner country than it is from rest of the world. Therefore, out of a total home consumption of 50X (GH) at (GJ) is produced in the home country, while 30X(JH) is imported from the partner country.
- The total loss of the consumer surplus before the formation of a customs union is AGHB out of which MJHN represents tariff revenues to the home country and triangle CJM and NHB represents deadweight welfare losses. Area AGJC represents income transfer to home producers.
- After the home country and the partner country form a customs union, the tariff barrier will be removed between the two countries, but will be maintained with the rest of the world
- The following effects will be observed after the formation of the customs union
 - Formation of the customs union brings trade creation by raising total imports from 30X (JH) to 60X(CB) at $P_x=1$.
 - The consumer surplus increases by AGHB out of which MJHN represents the loss of tariff revenues by the government of the home country and AGJC represents a reduction of producer surplus. This leaves the some of the area of the shaded triangles CJM and BHN as the net static welfare gain for home country.
 - Triangle CJM represents the production component of the welfare gain from the trade-creation and results from shifting the production of 10X (CM) from less efficient home country producers to more efficient producers in the partner country
 - Triangle BHN represents the consumption component of the welfare gain from the trade creation and results from the increase in consumption of 20X (NB) in the home country.

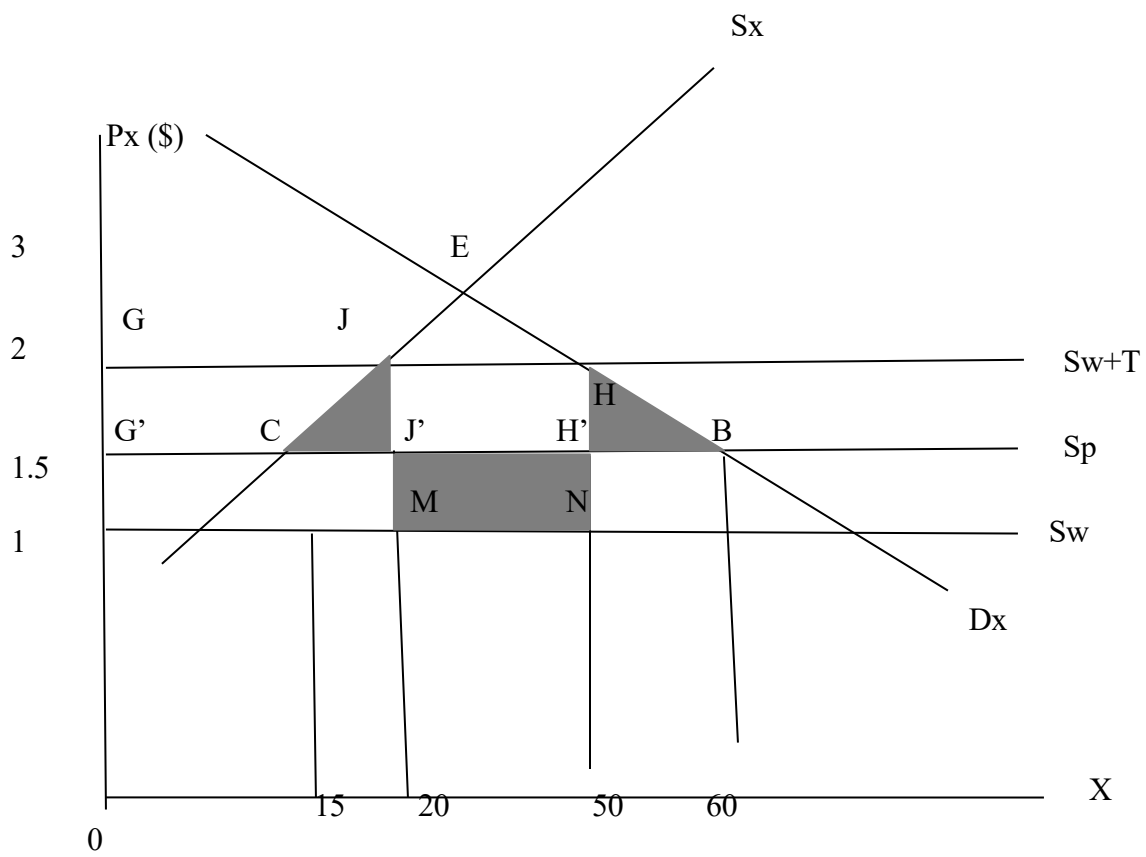
5.2.2 Trade Diverting Customs Union

Trade diversion occurs when the higher cost imports from a member of the customs union replaces the lower-cost imports from the rest of the world

By shifting production to a less efficient member country producer from more efficient producers outside the union worsens the international allocation of the resources reduces welfare.

It is worth noting that in addition to resulting to trade diversion, a trade diverting customs union results to trade creation. This implies that it can improve or worsen the welfare of union members depending on the relative strength of the two opposing forces

Fig 5.2 : A Trade- Diverting customs union in partial Equilibrium



- Assume that D_x and S_x are “home “ country’s demand and supply curves of commodity X. the price $P_x=\$1$ represents the free trade price of good X from the rest of the world, while $P_x=\$1.50$ is the free price of the good from a partner country.
- Therefore the supply curve S_w represents the free-trade infinitely elastic supply curve of the rest of the world, and S_p is the supply curve of the partner country
- Before customs union the prospects partner facing the same nondiscriminatory ad valorem tariff of 100% on imports of commodity X as the rest of the world is out of the market, since its price in the free trade is higher than the rest of the world.
- With the import tariff shifting the supply curve of the rest of the world to $S_w + T$ and the domestic import price to $P_x=\$2$, home country imports $30X(JH)$ units and produces $20X(GJ)$ domestically.
- After forming a customs union, with no tariffs against the partner and the 100% ad valorem tariff still applying to imports from the rest of the world, all imports will now come from the partner and none from the rest of the world. Observe that the price of the good from the partner country ($P_x=1.50$) is lower than the domestic price ($P_x=2$) of goods from the rest of the world.
- Forming the customs union affects trade and welfare in two opposing ways. First, it brings trade creation by raising total imports from $30X(JH)$ to $45X(C'B')$ at $P_x=1.50$. the welfare gain in the home country associated with this trade creation equals the sum of the two shaded triangles $C'JJ'$ and $H'HB'$ with correspondent to the net production and consumption effects earlier discussed.
- Second, forming the customs union diverts $30X(JH)$ of imports from the lower-cost rest of the world suppliers to the high cost partner. The area of the shaded rectangle $MJ'H'N$ is the welfare loss from diverting the initial $30X$ of imports from low-cost world market to higher cost partner country.
- Observe that out of the tariff revenue ($JMNH$) collected by the home country before the formation of the customs union, $J'JHH'$ is transferred to the domestic consumers in form of the lower price of the commodity X after the formation of the customs union. The shaded rectangle is the unaccounted loss of tariff revenue.
- Observe that trade diverting customs union lead to a net welfare loss for the home country since the shaded rectangle measuring the welfare loss from trade diversion exceeds the sum of the area of the shaded triangle measuring the welfare gain from pure trade creation.

5.3 The Theory of the Second Best

There has been a general belief that any movement toward free trade would also increase welfare to the extent that a customs union does not increase trade barriers against the nonmember nations, elimination of trade barriers among union members increases the welfare of member and nonmember nations alike

However, Viner (1950) showed that the formation of the customs union could increase or reduce the welfare of member nations and of the rest of the world, depending on the conditions under which it takes place.

The theory of customs unions is a special case of **the theory of second best** which states that if all the conditions required to maximize welfare or reach pareto optimum cannot be satisfied, trying to satisfy as many of these conditions as possible usually leads to the second best position.

Therefore, the question is under what conditions is a customs union more likely to lead to trade creation and increased welfare? A customs union is likely to increase welfare if:

- a) The preunion trade barriers of member countries are higher. This improves the chances of the formation of a trade creation other than a trade diverting customs union.
- b) The customs union's barriers on trade with the rest of the world are lower. This reduces the chance of the formation of a trade-diverting customs union.
- c) The number and size of the countries forming the customs union is large. This reduces the possibility of high-cost producers falling within the union.
- d) Members of the customs union are closely located geographically. This helps to promote trade creation among members since transactions costs of moving goods from one country to another are minimized.
- e) Prior to the formation of the customs union there already exists greater trade and economic relationship among potential members of the customs union. The formation of the customs would further improve trade and welfare of member countries.
- f) The economies of member nations are more competitive rather than complementary: there is a greater opportunity for specialization in production and trade creation if a customs union is formed by two competitive industrial nations rather than by an industrial nation and an agricultural (complementary) nation.

The success of the European Union was attributed to the member countries being more competitive than complementary, closer geographically and had greater preunion trade

5.3.1 Other Static Welfare Effects of Customs Union

- a) Irrespective of whether the customs union is trade creating or trade diverting, formation of a customs union helps to cut administrative costs from elimination of customs officers and border patrols
- b) A customs union is likely to have much more bargaining power in international trade negotiations than all its members separately.
- c) A trade –diverting customs union is likely to lead to an improvement in the collective terms of trade of the union by reducing its imports from and its exports to the rest of the world.
- d) For a trade-creating customs union, since part of the increase in real income resulting from the customs union spills over into greater demand for imports from the rest of the world, collective terms of trade is likely to worsen.

5.3.2 Dynamic Benefit from the Customs Unions

In addition to receiving the static welfare gains, nations forming a customs union are likely to receive the following dynamic benefits

A Increased competition: in the presence of the customs union , producers in the trade restricted areas face little or no competition and are likely to enjoy monopoly power, making them inefficient and unable to grow beyond infancy.

However, with the formation of a customs union and the removal of trade barriers among member countries, producers in each nation must operate efficiently if they are to survive in a competitive environment.

Increased level of competition is likely to lead to product and process innovation, which will cut costs of production to the benefit of consumers of the union member nations.

B Economies of Scale: The formation of customs union will enable producers in the member countries overcome the smallness of their domestic markets and achieve substantial economies of scale in production, as the market enlarges following the removal of trade barriers.

C Stimulus to Investment: Producers within the customs union will be stimulated to invest more to take advantage of the enlarged market and to meet the increased competition. This can be observed in the case of Safaricom and Celtel, which have expanded their mobile phone services to other member countries of the East African community.

In addition, formation of customs union will motivate investors from outside the union to set up production plants within the customs union to avoid the trade barriers imposed to nonunion products.

D Improved Resource Utilization: Where the customs union advances to a common market , the free movement of labour and capital within the community is likely to result in better utilization of the economic resources of the entire region.

Empirical studies give the impression that these dynamic gains from the formation of a customs union are about five or six times larger than the static gain.

5.4 History of Regional Integration in the East Africa Region

The EAC is the largest integration organization for the Republics of Kenya, Uganda and the United Republic of Tanzania, with a combined area of 1.8 million square kilometers and a joint population of approximately 93 million. They share a common history, language (Kiswahili) culture and infrastructure. In 2003 the countries combined GDP was about \$27 billion with Kenya having about \$10 billion while Tanzania and Uganda had \$8 billion and \$9 billion respectively. The admission of Rwanda and Burundi into the EAC in 2007 is expected to increase the total population by over 15 million people.

Prior to the establishment of the EAC in 1999, the three East Africa countries had enjoyed a long history of co-operation under successive regional integration arrangements entered into between 1917 and 1977. These include.

- The customs union between Kenya and Uganda in 1917 that was joined by mainland Tanzania (then Tanganyika) in 1927
- The East African High Commission (1948-1961) a body formed to provide a legal basis to enforce laws relating to common market and common services in the three colonies. Services in the three colonies had been amalgamated to form the East African Post and Telegraphs, the East African Airways, the East Africa Railways and Harbors, and the East African Common Markets.
- The common markets in which goods and labour circulate freely remained in the operation even after all the three countries had gained independence. However, since the colonial era, the common market system had created significant trade and industrial imbalances against Uganda and particularly Tanzania in favour of Kenya
- The three countries had a common monetary system, the East African Currency Board that was established in December 1919 to provide for and control the supply of currency. The Board was empowered to issue its own currency that was fully backed by the pound sterling for circulation in its area of operations. The East African shilling became the common currency since 1920, replacing the India rupee. However, the Board ceased functioning in 1966 after Kenya, Uganda and Tanzania created their own central banks.

5.4.1 The Creation and Demise of the ‘old’ East African Community (1967-1977)

The old East African Community was established by a treaty signed by the Heads of States of Kenya, Uganda and Tanzania in 1967.

Following the perceived imbalances in the distribution of benefits of the economic integration in the previous integration arrangements, the less developed members imposed tariffs on imports from a country with which they had trade deficit to protect their industries (Goldstein and Ndung'u 2001)

Also, under the treaty, the East African Development Bank (EADB) was established so as to promote industrial development as a means of redistributing the gain from the common market. Each state was required to contribute equally to the bank's capital share and the Bank was to ensure that Tanzania and Uganda each got 38.75% of its investments, against 22.5% in Kenya (Goldstein and Ndung'u 2001)

However, several problems emerged leading to the collapse of EAC in 1977, and the closure by Tanzania of its border with Kenya.

- a. The problems of the EAC can be traced back to the colonial period. The integration schemes initiated during the colonial period favored Kenya, which was managed as the center of regional British colonial power. The relatively well developed infrastructure in Kenya led to the setting up of industries to supply the other territories. With Kenya exhibiting a head start in all spheres of economic development while Tanzania and Uganda trail behind, there was need to address the issue of disproportionate benefits from trade.

However, measures developed to redistribute the gains from the common market through industrial development failed to yield satisfactory results. As Goldstein and Ndung'u 2001 put it under a risk-adverse clause in its statutes, the East African Development Bank could only finance 'viable' projects, most of which were in Kenya, especially during the 1971-1973 period. Furthermore, despite having regulations to encourage industries in Uganda and Tanzania, location advantages attracted investors to Kenya.

- b. The pursuit of divergence and conflicting political and economic ideology by the partner states was bound to make it difficult to reach quick and amicable decisions. For instance, Kenya under president Kenyatta pursued capitalism and social interventions, while Tanzania under the president Nyerere pursued socialism. The ideological differences between the states exposed them to asymmetric internal shocks that require conflicting and divergent socio-economic policies, hence forcing them to abandon the common currency.

With the introduction of the individual currencies came the increase in transaction costs of exchanging one currency for another. This complicated inter-state financial transfers leading to further decline in intra-regional trade, hence undermining the foundations of the common market systems (KAMANGA 2001)

- c. The collapse of the EAC has also been attributed to the rising animosity among the leaders of the three countries, especially following the forceful takeover of the power in Uganda by Idi Amini in 1971. Tanzania refused to recognize the new regime in Uganda and considered its participation in the EAC illegal. Furthermore, there were tensions between Kenya and Uganda following Amini's territorial claims against Kenya in 1976. As a result, the supreme body could not be able to meet any more, from 1971. Indeed the relationship between Tanzania and Uganda worsened resulting to war between them within one year of the break-up of the community.
- d. Another aspect of the community that hindered its smooth operations was lack of autonomy of the institution from the interferences by individual partner states. Unlike the East African High Commission that had all major decisions of the cooperation being made by one central authority based in London and then executed by the colonies, the decisions of the EAC were heavily influenced by the East African Authority and not the committee of East African Ministers at the Community's headquarters. Furthermore, each member state had veto power as provided in the 1967 treaty of East African Co-operation. Thus, any decisions of the Community could be deferred for failure of the three states unanimously reaching an agreement.

- e. The collapse of the EAC was also a result of the failure by its architects the founding fathers of these nations to involve the private sector and the civil society in the formation and the running of the Community. As a result, its existence depended on the whim of the three leaders (Nyirabu 2003)
- f. Finally the failure by the member states to pay their dues to the Community marked the end of the East African Community in June 1977. The Community was officially dissolved in 1983.

5.4.2 The Revival of the East African Community

On 30 November 1999, the East African Heads of state signed a treaty reviving and extending the scope of the old EAC that had collapsed in 1977, with the objectives of deepening of cooperation among the Partner States through policies and programs in economic, political, social and cultural fields, research and technology, defense, security and legal and judicial affairs, for their mutual benefits EAC 2001

To achieve these objectives, the treaty establishing the new EAC envisaged the establishment of a customs union first, then a common market, a monetary union and ultimately a political federation.

The East African Community Customs Union commenced operations on 1 January 2005 following the signing of the protocol establishing it in March 2004. The member countries agreed to apply the principle of asymmetry in the elimination of the internal tariff so as to avoid the shortcomings associated with the earlier integration initiatives.

Under the program, the goods from Uganda and Tanzania would enter Kenya duty-free, while the two countries imposed tariffs on reducing level on selected imports from Kenya for a period of five years. Uganda imposes a uniform tariff of 10% on imports from Kenya, which will reduce progressively by 2% each year until 2009. Kenyan exports to Tanzania attract duties of 5, 10, 15 and 25% and will reduce progressively to zero in 2009. Those Kenyan exports to Tanzania that attract a 2 and 3 % customs tariff will be zero rated in 2007 and 2008 respectively.

The partner countries agreed to impose a common external tariff (CET) that applied uniformly on goods imported into EAC. The CET rates would be zero percent for raw materials, 10% for intermediate goods and 25% for finished goods.

A study conducted by Castro, Kraus and de la Rocha (2004) shows that the implementation of Customs Union would lead to a modest decline in tariff revenues of the three countries. In the first five years of its implementation, Kenya would suffer a 16% decline of pre-Customs Union customs revenue, while Tanzania and Uganda would experience a decline of 4.2% and 2.9% respectively. With a contribution of customs revenue to total tax revenue of about 10% for the three countries, the loss from implementation of the Customs Union would be roughly 1% of total EAC tax revenue during the first five years.

In case of regional trade flows, the study estimates that there would be almost no expansion of regional trade during the first five years because of the temporary tariffs on selected imports from Kenya. However, modest increases in regional trade flows are

expected after the temporary tariffs are eliminated and the top CET rate is reduced to 20%

Plans are underway for the three countries to form a political federation 2003, within which time elections for a new federal president and federal parliament are expected to take place. It is not clear, however, what powers the federal president and parliament would have over the sovereign states.

In an effort to boost trade and minimize transaction costs of using foreign currencies among member countries to trade there are plans to establish a monetary union before the launching of the political federation in 2010. Article 82 paragraph 1a of the treaty states that the partner states will “ co-operate in monetary and financial matters and maintain the convertibility of their currencies as a basis for the establishment of a monetary union” (EAC Secretariat, 2001)

5.5 The European union

- Established in 1958 by West Germany, France , Italy , Belgium ,Netherlands and Luxembourg, who were later joined by the United Kingdom, Denmark, and Ireland in 1973 , Greece in 1981, Spain and Portugal in 1986.
- The common external tariff was set at the average of the tariffs of the six founder nations of 1957.
- The member countries completely removed all restrictions on the free flow of goods, services, labour and capital among its members beginning January 1, 1993.
- As a result of this integration, trade among member countries is estimated to have doubled. Trade in industrial goods with nonmembers significantly expanded. Trade diversion was, however, experienced in agricultural commodities.
- The degree of integration deepened when eleven 11 member countries comprising , Austria, Belgium, Finland, France, Germany, Greece, Ireland, Italy, Luxembourg, Portugal, and Spain adopted the Euro as their common currency on January 1, 1999.

5.6 Topic Summary



A custom union allows no tariffs or other barriers on trade among members

Formation of a custom union may affect trade and welfare of the member nations in two opposing ways. It may lead to trade creation and trade diversion

Trade creation is said to have occurred when some domestic production in a member nation of the customs union is replaced by lower cost imports from another member nation

Trade diversion occurs when the higher cost imports from a member of the customs union replaces the lower-cost imports from the rest of the world

The theory of customs union is a special case of the theory of second best which states that if all the conditions required to maximize welfare or reach pareto optimum cannot be satisfied, trying to satisfy as many of these conditions as possible usually leads to the second best

5.7 Work to do



- ✓ Describe the European Union
- ✓ Describe: PTA, FTA, custom union, common market, economic and monetary union
- ✓ Describe the effects custom union
- ✓ Benefits from the custom union
- ✓ Describe the fall of the old East Africa

5.8 Further reading



East African Community ,” EAC Development Strategy 2001-2005”(www.eac.int/strategy.htm)

East African Community , “EAC Treaty -1999:. (www.eac.int/treaty.htm)
Goldstein, Andrea, and Njuguna, Ndung’u (2001), “Regional Integration Experience in the Eastern African Region.” OECD Development Center Technical Papers 171.

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TOPIC SIX RISK AND UNCERTAINTY

Introduction



In this topic we'll discuss the chronology of financial crises that is the Mexican, Asian and American crises. Financial crises and the challenges of development.

6.1 Topic Objectives



By the end of this topic the student will be able to;

- ✓ Describe the financial crises
- ✓ Describe the cause of crises
- ✓ Identify problems involved in the Asian crises

6.2 Overview

The Asian Financial Crisis was a period of financial crisis that gripped much of Asia beginning July 1997, and raised fears of a worldwide economic meltdown or financial contagion. The Asian financial crisis involved four basic problems:

- i) A shortage of foreign exchange that caused the value of currencies and equities in Thailand, Indonesia, South Korea and other Asian countries to fall dramatically
- ii) Inadequately developed financial sectors and mechanisms for allocating capital in the troubled Asian economies
- iii) Effects of the crisis on both the United States (US) and other countries of the world
- iv) The role, operations and replenishment of funds by the International Monetary Fund (IMF)

6.2.1 History

Until 1997, Asian attracted almost half of the total capital inflow from the developing countries. The economies of Southeast Asia in particular maintained high interest rates attractive to foreign investors looking for a high rate of return. As a result, the region's economies received a large inflow of money and experienced a dramatic run-up in asset prices. At the same time, the regional economies of Thailand, Malaysia, Indonesia, Singapore, Hong Kong and South Korea experienced high growth rates in gross domestic product (GDP), estimated at 8-12% in the late 1980s and early 1990s . this achievement was widely acclaimed by financial institutions including the IMF and World Bank and was known as part of the "Asian economies miracle".

This "Asian miracle" however, appeared to come to an abrupt end in late 1997 when in one country after another, local stock markets and currency markets imploded. When the dust started to settle in January 1998 the stock markets in many of these states had lost over 70% of their value, their currencies had depreciated against the US dollar by a similar amount and the once proud leaders of these nations had been forced to approach the IMF for a massive financial assistance

It appears then that the seeds of the 1997-98 Asian financial crisis were sown during the unprecedented economic growth period. Although there were and remain important differences between the individual countries, a number of elements were common . exports had long been the engine of economic growth in these countries. A combination of inexpensive and relatively well educated labour, export oriented economies ,falling barriers to international trade and in some cases such as Malaysia, heavy inward investment by foreign companies had combined during the previous quarter of a century to transform many Asian states into export powerhouses. Over the 1990-96 period, for example the value of exports from Malaysia had grown by 18% per year,Thai exports had grown by 16% per year,Singapore by 15% per year, Hong Kong by 14% per year and those of South Korea and Indonesia by 12% per year.

6.3 Chronology of the crisis

The crisis started in Thailand with the financial collapse of the Thai baht caused by the decision of the Thai government to float the baht, cutting its peg to the US dollar after exhaustive efforts to support it in the face of a severe financial overextension that was in part real estate driven. At the time, Thailand had acquired a burden of foreign debt that made the country effectively bankrupt even before the collapse of its currency. As the crisis spread most of the Southeast Asia and Japan saw slumping currencies, devalued stock markets and other assets prices and a precipitous rise in private debt. What follows is the chronology of the Asian Financial Crisis:

- Early May (1997)-Japan hints that it might raise interest rates to defend the yen. The threat never materialized , but it shifts the perceptions of global investors who begin to sell Southeast Asian currencies and sets off a tumble both in currencies and local stock markets
- July 2- After using \$33 billion in foreign exchange, Thailand announces a managed float of the baht.the Philippines intervenes to defend its peso

- July 18- IMF approves an extension of credit to the Philippines of \$1.1 billion
- July 24- Asian currencies fall dramatically . Malaysian Prime Minister Mahathir attacks “rogue speculators” and later points to financier George Soros
- Aug 13-14 The Indonesian rupiah comes under severe pressure . Indonesian abolishes its system of managing its exchange rate through the use of a band
- Aug 20- IMF announces \$17.2 billion support package for Thailand with \$3.9 billion from the IMF
- Aug 28- Asian stock market plunge . Manila is down 9.3 %, Jakarta 4.5%
- Sep 4 – the peso , Malaysian ringgit and rupiah continue to fall
- Sep 20 – Mahathir tells delegates to the IMF/ World Bank annual conference in Hong Kong that currency trading is immoral and should be stopped
- Sep 21- George Soros says “Dr Mahathir is a menace to his own country”
- Oct 8 –Rupiah hits a low ; Indonesia says it will seek IMF assistance
- Oct 14- Thailand announces a package to strengthen its financial sector.
- Oct 20-23- The Hong Kong dollar comes under speculative attack; Hong Kong aggressively defends its currency . The Hong Kong stock market drops while wall street and other stock markets also takes severe hits
- Oct 28- The value of the Korean won drops as the investors sell Korean stocks
- Nov 5- The IMF announces a stabilization package of about \$40 billion for Indonesia. The United States pledges a standby credit of \$3 billion
- Nov 3 -24- Japanese brokerage firm (Sanyo Securities) largest securities firm (Yamaichi securities) and 10 largest bank(Hokkaido Takushoku) collapse
- Nov 21 –South Korea announces that it will seek IMF support
- Nov 25- At the Asian pacific economies (APEC) summit, leaders of 18 Asia Pacific economies endorse a framework to cope with financial crisis
- Dec 5 –Malaysia imposes tough reforms to reduce its balance of payment deficit
- Dec 3- Korea and IMF agree on \$57 billion support package
- Dec 18- Korean elect opposition leader Kim , Dae-jung as new president
- Dec 25- IMF and others provide \$10 billion in loans to South Korea
- Jan 6- 1998 –Indonesia unveils new budget that does not appear to meet IMF austerity conditions . value of rupiah drops.
- Jan 8- IMF and S. Korea agree to a 90 day rollover of short term debt.
- Jan 12 – Peregrines Investments Holdings of Hong Kong collapses . Japan discloses that its banks carry about \$80 billion in bad or questionable loans
- Jan 15- IMF and Indonesia sign an agreement strengthening economic reforms
- Jan 29 – S. Korea and 13 international banks agree to convert \$24 billion in short term debt, due in March 1998, into government – backed loans
- Jan 31- S. Korea orders 10 of 14 ailing merchant banks to close.

- Feb 2- The sense of crisis in Asia recede . Stock markets continue recovery

6.4 The financial Crisis Suffered in the World between 1994-2004

6.4.1 The Mexican Crisis, 1994-1995

- The strong flows of international landing to the developing countries were disrupted in the mid 1990s as Mexico suffered a financial crisis beginning in the late 1994
- Prior to the crisis, Mexico's impressive economic reforms and entry into North American Free Trade Area (NAFTA) had attracted huge capital flow as investors sought high returns
- The following factor could have , however, contributed to the slow down and reversal of capital flow into Mexica
 - ✓ Owing to restriction on the depression of nominal peso by the government and the relatively high inflation rate than its main trading partner, the United States, the real exchange rate value of the peso increased (appreciated)
 - ✓ As exports became less competitive and imports cheap in the international market , Mexico's current account deficit as a percentage of GDP increased to 6% in 1993, financed by the capital flows
 - ✓ Weak banking systems with insufficient supervision and the regulation by the government. As bank lending grew rapidly in the Mexican banking system owing to increased funds from the capital inflows , so did the non-payment of these funds
 - ✓ Political instability associated with the 1994 elections
 - ✓ The pressure on the peso to depreciate was counteracted by Government's sterilization intervention , which resulted to decline in the country's official international reserves holdings.
 - ✓ Change in the reform of the government debt beginning in the early 1994 from peso denominated government debt of short-term dollar-indexed government debt called *tesobonos* was the main cause of Mexican crisis. There were about \$28 billion of *tesobonos* outstanding by the end of 1994, most maturing in the first half of 1995
 - ✓ In December 1994, the peso was allowed to depreciate, but the country's official reserves had declined about \$6 billion
 - ✓ Being uncertain of governments ability to meet its dollar obligations, investors refused to purchase new *tesobonos* to pay off those maturing. Instead each investor rushed to be paid off in dollars. The crisis was triggered by a huge capital flight , mostly by Mexican residents who feared currency devaluation and converted out of pesos

- ✓ Upon reassessing their investments in emerging markets the investors not only pulled back their investment from Mexico but also from other developing countries (the ‘tequila effect’)

Rescue Package

- ✓ Mexican government borrowed about \$27 billion mostly from the US government and international Monetary Fund to pay off *tesobonos* as they matured and to replenish its official reserve holdings
- ✓ As a result, the pure contagion that led investors to retreat from nearly all lending to the developing countries calmed after the first quarter of 1995.

6.4.2 The Asian Crisis, 1997

- The Southeast and East Asia countries were looked favorably by foreign investors owing to their stable macroeconomic performance in the early and mid-1990s ; rapid economic growth; fiscal surpluses or small deficits ; low inflation resulting from sound monetary policies , and the export oriented trade policies.
- However, some countries experienced some problems that would later result to a financial crisis.
 - ✓ Weak government regulation and supervision of banking system in Thailand and South Korea. Banks and other financial institutions in these countries borrowed in foreign currency terms (dollar and yen) and gave domestic borrowers loans in local currencies terms hence bearing significant exchange rate risk.
 - ✓ Cheap access to foreign borrowing made banks in these countries not keen to evaluate how risky some local borrowers were, hence lending to rising defaults on loans.
 - ✓ The restriction in the depreciation of these countries’ nominal exchange rate led to the overvaluation the real exchange rate values of their currencies. Consequently, the growth of exports slowed and the current account deficit as a percentage of GDP rose to 8% in Thailand, beginning in 1996, still financed by strong capital inflows

Financial Crisis first hits Thailand

- Thai stock prices and real estate prices suffer huge decline beginning in 1996 following the expectation of declining exports.
- Given that the Thai Baht was somewhat overvalued, there was intense pressure for the currency to be devalued. Banks and local firms that had borrowed dollars and yen without hedging against exchange rate risk rushed to convert baht into foreign current assets.

- Owing to the excess demand for the foreign currency , the Thai government could no longer defend the baht from massive depreciating beginning in July 1997. The huge one time depreciation of a currency is what is called a currency crisis

Financial Crisis spreads to other Asian countries

- Throughout the rest of 1997 the currency crisis spread to Indonesia , South Korea , Malaysia and the Philippines as foreign investors lost confidence in local bank borrowers and the local stock markets and as local borrowers rushed to convert local currency into foreign to hedge against exchange rate risks
- The percentage depreciation in the exchange rate values of Thailand, South Korea ,Indonesia, Malaysia and Philippines was between 40-50% during the second half of 1997
- However, the value of the Singapore dollar was affected much less, while the value of the Hong Kong dollar fixed to the US dollar was not affected at all.

Rescue Package

- IMF organized large rescue packages, giving an actual loan of \$13 billion to Thailand, \$11 billion to Indonesia , \$27 billion to South Korea. These large rescue package combined with policy changes contained the crises.

6.5 Causes of Crisis

Though there has been general agreement on the existence of the crises and its consequences, what is less clear is the cause of crisis as well as its scope and resolution. The causes of the crisis have been subject to wide differences in interpretation . for instance, while some scholars have argued that most of the crisis were due to panic contagion hitting innocent victims, others have advanced the almost diametrical view that international finance markets were highly inefficient and that the crisis were due primarily to national government and IMF generated moral hazard . Below are the causes

A. Investment boom

The wealth created by export led growth helped to fuel an investment boom in commercial and residential property, industrial assets and infrastructure . the value of commercial and residential real estate in cities such as Hong Kong and Bangkok started to soar. In turn, this fed a building boom in Asia that triggered heavy borrowing from banks. As for industrial assets, the continued success of Asian exporters encouraged them to make ever bolder investments in industrial capacity . this was exemplified most clearly by South Korea's giants diversified conglomerates, or *chaebol*, many of which had ambitions to build up a major position in the global automobile and semi conductor industries

An added factor behind the investment boom in most Southeast Asian economies was the respective governments which had embarked upon huge infrastructure projects. In Malaysia for example, a new government administrative center was being constructed in

Putrajaya for an equivalent of US\$8billion at the pre July 1997 exchange rate. In addition the government of Malaysia was funding the development of a massive high technology communications corridor and the huge Baku dam, which at a cost of US \$5.4 billion was to be the most expensive power generation scheme in the country . in Malaysia, the government had also encouraged strategic investments in the semi- conductor and automobile industries . one result of this the national automobile manufacturer, Perusahaan Otomobil Nasional Bhd, which was established in 1984. Protected by a 200% import tariff and with few other competitors, the proton sold well in its captive market . by 1989 Perusahaan Otomobil Nasional Bhd was selling 72,000 cars out of a total market of 117,000. By 1995 it had a 62%share of a market which had grown to 225,000 cars annually

Throughout the region, other governments also encouraged private businesses to invest in certain sectors of the economy in accordance with “national goals” and “industrialization strategy”. In South Korea for example, president Kim Young Sam urged the *chaebol* to invest in new factories. Korea did enjoy an investment led economic boom in the 1994-95 period , but at a cost. The *chaebol* , always reliant on heavy borrowings, built up massive debts that were equivalent, on average , to four times their equity.

In Indonesia, President Suharto had long supported investments in a network of an estimated 300 businesses that are owned by his family and friends. Many of these businesses were granted lucrative monopolies by the President. For example, in 1990 one of the President’s youngest son , Mr Hutumo was granted a monopoly on the sale of cloves, which are mixed with tobacco in the cigarettes preferred by 9 out of 10 smokers in Indonesia. In another example, in 1995 Suharto announced that he had decided to build a national car, and that the car would be built by a company owned by Mr Hutumo, in association with Kia motors of South Korea. To support the venture, a consortium of Indonesian banks was “ordered” by the government to offer almost \$700 million in start up loans to the company. This investment boom is believed to have largely contributed in fuelling the Asian crisis.

B Excess Capacity

The volume of investments in the Southeast Asian countries ballooned during the year 1990s. often at the bequest of national governments. With the crisis, the quality of many of these investments declined significantly. The investments were made on the basis of projections about future demand conditions that were unrealistic. The result was the emergence of significant excess capacity. A good example was the investments made by the Korean *chaebol* in semi conductor factories. Investments in such facilities surged in 1994 and 1995 when a temporary global shortage of Dynamic Random Access Memory chips (DRAMs) led to sharp price increases for this product. However, by 1996 supply shortages had disappeared and excess capacity was beginning to make its self felt , just as the Koreans started to bring new DRAM factories on stream. The results were predictable ; prices for DRAMs plunged through the floor and the earnings of the Korean DRAM manufacturers fell by 90%. This meant it was extremely difficult for the Korean entrepreneurs to make scheduled payments on the debt they had taken on build the extra capacity in the first place

In another example, a building boom in Thailand resulted in the emergency of the excess capacity in residential and commercial property. By early 1997 it was estimated that there were 365,000 apartment units unoccupied in Bangkok. With another 100,000 units scheduled to be completed in 1997, it was clear that years of excess supply. By one estimate, by 1997 Bangkok's building boom had produced enough excess space to meet its residential and commercial need at least for the next 5 years

To make matters worse, much of the borrowing to fund these investments had been in US dollars, as opposed to local currencies. At the time this had seemed like a smart move. Throughout the region local currencies were pegged to the dollar, and interests rates on dollar borrowing were generally lower than the rates on borrowings in domestic currency. However the governments in the region could not maintain the dollar peg and their currencies started to depreciate against the dollar, thus triggering a financial crises.

C Uncontrolled Imports

Another complicating factor was that by the mid 1990s although exports were still expanding across the region so were imports. The investments in infrastructure, industrial capacity and commercial real estates were sucking in the foreign goods at unprecedented rates. To build infrastructure, factories, and office building , Southeast Asians countries were purchasing capital equipment and materials from America, Europe and Japan . Boeing and Airbus were crowing about the number of commercial jet aircraft they were selling to Asian Airlines . Semi-conductor equipment companies such as Applied Materials and Lam Materials were boasting about the huge orders they were receiving from Asia. Motorola, Nokia and Ericsson were falling over themselves to sell wireless telecommunications equipment to Asian nations . And companies selling electric power generation equipment such as General Electric were getting records across the region.

Reflecting growing imports, many Southeast Asians states saw the current account of their Balance of Payments shift strongly into the red during the mid 1990s . By 1995nIndonesia was running a current deficit that was equivalent to 3.5%of its GDP, Malaysia's was 5.9% and Thailand's was 8.1%. with deficits like these starting to pile up it was becoming increasingly difficult for the governments for these countries to maintain the peg of their currencies against the US dollar . If that peg could be held , the local currency value of dollar dominated debt would increase, raising the spectre of large scale default on debt service payments. The scene was now set for a potentially rapid economic meltdown.

D Liquidity and Solvency problems

Since most of the crisis countries had large current account deficits matched with large capital inflows, a drying up of capital inflows, much less an actual shift to outflows , would make currencies that had been initially valued at roughly equilibrium rates , such as arguably was the case with the Indonesian rupiah and the Korean won, quickly become substantially overvalued. This process of self fulfilling shift in expectations hit Indonesia in july and august and Korea in October –November. At least with Korea there was no question of national insolvency . Thus from the aggregate level the problem could be seen as being primarily a liquidity crisis. However , from the stand point of many

individual agents there were quite reasonable concerns about solvency as well. As argued by Tirole (2002) “There is never illiquidity without atleast some suspicion regarding insolvency” (p-111). In the real world, crisis involve varying combination of both and the Asian crises fit this description . on this interpretation the spread of the Asian contagion was due to the large number of countries with financial sectors in the vulnerable zone.

E Macroeconomic Fundamentals

Krueger and Yoo’s (2002) analysis of the Korean financial sector concludes that “vulnerability of the system was extreme” and “the Korean crisis was a disaster waiting to happen “ (p 638). Not all of the Asian crisis countries had been free of at least mild microeconomic problems. Inflation was definitely not a problem , but many countries were allowing excessive credit creation and in some cases such fiscal policy was judged to be too loose . For example , in Indonesia , Korea , Malaysia and Thailand , Alba et al (1999) argue that all four countries saw a pick-up in domestic demand pressure during 1994-96 . The demand pressures were manifested primarily In the widening of the current account . (p 35). However , when monetary policy was being tightened in these countries fiscal policy actually turned pro cyclical in all the four countries.

6.5.1 The Role of Moral Hazard and Perverse Financial Liberalization

One possible explanation for the failure of the market to display more anticipation of the risk of crisis is moral hazard. There is little question that moral hazard generated by the action of Asian governments played a major role in the development of the financial vulnerability in these countries. According to Furman and Stiglitz (1998) the Asian crisis were about private sector decisions gone wrong . There was certainly a lot of poor risk management by both Asian crises country firms and by industrial country lenders , but perverse incentives generated by the government also played a major role . Government - fostered beliefs that major exchange rate changes would be avoided generated large un-hedged private sector debt and foreign borrowing . Not only did these countries tend to have poor oversight systems for regulating prudential risk, but in some cases such as the Bangkok International Banking Facility , foreign borrowing was actually subsidized. In Korea , contrary to standard economic theories of sequencing financial liberalization ,short-term foreign borrowing was liberalized before long-term borrowing . Perverse financial liberalization lay at the heart of the Asian crises. The problems of effective allocation of capital were magnified by size and speed of the financial flows into Asia in the 1990s . As Delhaise (1998) describes it “The sheer size of money awaiting opportunities to partake in the phenomenal growth of Asia was vastly superior to what Asia could comfortably swallow “The capital directed at Asia was never priced effectively – capital was diverted from its most efficient uses” (p-17) . Furthermore implicit guarantees against large exchange rate movements in a number of countries generated incentives for excessive un-hedged foreign borrowing . As noted by Eichengreen (1999) the causes of these perverse liberalization were not primarily “incompetence but the logical outgrowth of the government cultivation of a bank-centered financial system” (p 159)

One popular variant of moral hazard arguments puts blame on the IMF and US Treasury for having increased moral hazard through the Mexican rescue in 1995. The prospects of

such large international bailouts could be on the one hand make governments more lax in their efforts to avoid vulnerable positions and make international investors more willing to provide finance. Given the substantial economic and political costs typically incurred by crisis countries, the effects of prospective international bailouts on government behavior seem likely to be strong. In effect, the insurance offered is one with a large co-payment. More sophisticated versions of the moral hazard argument have been put forward by Dooley (2000a, 2000b) and others which focus on calculations by investors of the backing available by governments explicit implicit guarantees. In this view, sometimes called the third generation of crisis model, the prospect of IMF bailouts increased the amount of capital inflows but since neither national nor IMF resources to back guarantees is unlimited, if contingent liabilities become too great, then capital flight will be generated.

6.5.2 Capital Controls and Exchange Rate Regimes in the Asian Crises

One common interpretation of the Asian crises is that they primarily reflect the problems of one-way speculative gamble in a world of adjustably pegged exchange rates and high capital mobility. In this view the underlying cause of the Asian crises was the same as of the breakdown of the Bretton Woods adjustable peg system in the early 1990s. In other words these are the examples of the unstable middle hypothesis. Economists are generally agreed that with high capital mobility and no capital controls, narrow band adjustable pegs systems such as were practiced during the Bretton Woods years and by Thailand are accidents waiting to happen. Many prominent economists have embraced the two-corned hypothesis under which the unstable middle is so wide that one must go all the way to one extreme or the other – genuinely fixed or highly flexible rates – to avoid currency crises. Others argue that intermediate systems such as crawling bands can be stable and point the examples such as Chile, Israel and Poland to support their point. How much pegged rates contributed to the Asian crises depends in no small parts on what one means by pegged rates. Many have talked of all the hardest hit Asian currencies as having pegged exchange rates. Thailand clearly fit the bill of the Bretton Woods type narrow band adjustable peg. The baht was pegged to a basket of currencies rather than to the dollar alone, but while the weights of the basket were never officially announced there is general agreement that the weight given to the dollar was at least 80 or 90%.

A wide range of countries listed themselves as independent or managed floats, but displayed what Calvo and Reinhart (2002) have labeled “fear of floating” and intervened heavily in the foreign exchange markets. While commentators frequently refer to the pegged rates of Indonesia and Korea, both officially listed themselves as having managed floats. Behaviorally, Indonesia and Korea both have crawling bands. There is widespread agreement that poorly designed and ineptly implemented financial liberalization played an important role in protecting China and India from Asian contagion. For example, the wall street journal (1998) had noted that “some of the holdout nations that refused to adopt the free-flow-of-money orthodoxy of the 1990s such as China, India and to a lesser degree, Chile now stand out as the countries least affected by current crises”. While Paul Krugman (1999) has argued that “nearly everyone is glad that not all developing countries managed to liberalize their capital accounts before the 1997 crisis

hit; in particular, Indeed studies that have investigated the relation of capital controls to currency crises have tended to find that the prevalence of capital controls tends to make currency crises more rather than less likely. The standard explanation for such a positive correlation is that capital controls may signal bad policy and hence make crises more likely , while the absence of controls signals good policy and is associated with fewer crises

6.5.3 Panic and Contagion

The role of panic and foreign investors in generating contagion is believed to have contributed to the Asian financial crises . The discussion of Korea by Heo (2001) refers to the foreign exchange panic and puts its focus on the exodus of foreign capital. Likewise , Niles (2001) analysis of Indonesia also stresses panic. Nile (2001) observed that the investors confidence in Indonesia was based on assumptions that higher capital inflows would continue and the exchange rate would hold. Once Thailand devalued , investors in the region pulled out of the other Asian countries in a panic. The panic or a contagion epidemic that swept through the region devastated the currencies and equities well beyond what was reasonable. Thus to a large extent , the Asian financial crises is attributed to the panic reaction and the herd behavior of foreign investors rather than to deterioration in macroeconomic fundamentals.

6.5.4 Increases in Risk Aversion

The Asian crises were unusual because of the combination of the sharp increase in risk aversion generated by shattered metals and the large number of countries in the vulnerable zone . According to Willett (2000) , the largely unexpected nature of the crises generated a sharp increase in uncertainty as the investors realize that their understanding of the situation had been seriously faulty. This was accompanied by substantial exchange rate overshooting in most of the crises countries.

6.6 Preventing and Managing Future Crises

6.6.1 Introduction

The current arrangement for integrating and emerging markets into the global financial system are clearly defective. Capital market liberalizations in Latin America, Eastern Europe and Asia have been followed by extreme macroeconomic crises. The IMF responses to those crises that have not prevented deep dislocations in the emerging market countries. Moreover , the emergency IMF bailout packages in Mexico, Argentina and East Asia have arguably contributed to significant new moral hazards in international lending. International financial markets are inherently unstable, at least for countries borrowing heavily from abroad, at short maturities and in foreign currency. Fro the experiences of various crises the following have been put forth as measures for managing crisis

6.6.2 Financing Investments

There is certainly no strong empirical evidence that the economic growth in middle-income developing countries depends on unfettered access to short term capital flows from abroad. Such short-term financing is useful to finance trade flows, not longer term

investments. Still less are short term inflows useful to finance long-term on lending by highly leveraged financial institutions. The policy goal, therefore should be to support long-term capital flows, especially foreign direct investment and equity portfolio flows but to limit short-term international flows mainly to the financing of short-term trade transactions. Banks and non financial institutions could be discouraged from short-term international financing, for example with maturity of less than six months , except to finance documented trade transactions. As always , one can approach such limits via taxation , for example as practiced in Chile, which imposes a 30%reserve requirement on dollar deposits in the banking systems or via outright supervisory limits. Practical enforcement consideration such as administration and monitoring would probably push towards outright quantitative limits on short-term flows. That notwithstanding , economic arguments would generally come down on the side of taxation.

6.6.3 Institution and financial Reforms

The huge build up of short-term debts in Asian in the 1990s followed hard on the heels of a specific set of financial liberalization actions. It is fair to argue that without institutional changes like the Bangkok International Banking Facility, the Thailand build up of debt could well have been contained. Similarly, Korea's build up of short-term debt was a specific consequence of the regulatory treatment of Korea's merchant banks in the mid-1990s. of course some short-term capital will always evade whatever form of taxation or quantitative controls are used , but the evidence from Chile and Malaysia suggests that these tools can be effective in slowing such inflows on the margin. According to Fischer (1998) weak financial institutions, inadequate bank regulations and supervision and the complicated and transparent relations among governments, banks , and corporations , lie at the heart of the economic crises in each country. Therefore, it did not serve any lasting purpose for the IMF to led to these countries unless the problem of weak institutions and inadequate legal and regulatory framework were addressed . in Feldstein's (1998) view , when the foreign exchange crisis hit Korea, the primary need was to persuade lenders that Korea's lack of adequate foreign exchange reserves was a temporary shortage , not permanent insolvency . What Korea needed was coordinated action by creditor banks to restructure its short-term debts.

6.6.4 Sequencing of Liberalization

The IMF pushed the Asian countries toward accelerating capital market liberalization in the wake of the crisis. In Korea, for example, the December 3, 1997 program announced that the government had planned to accelerate substantially its on going capital account liberalization and that to instill market discipline a timetable was to be set by end-February 1998 to eliminate restrictions on foreign borrowing by corporation. The IMF's push towards further liberalization of long-term capital flows, including foreign direct investment, had little risks and probably considerable long-term economic benefit. The problems arose mainly from the lack of distinction between short-term and long-term capital flows. While the liberalization of short-term capital movements should be undertaken gradually and with extreme caution, the opening of the financial sector to foreign direct investment should be undertaken much more quickly and forthrightly. Indonesia, Korea Malaysia and Thailand were all characterized by a limited presence of

foreign bank branches and subsidiaries especially in the latter three countries. Despite significant interest means in establishing a full banking presence in these countries, foreign banks were generally unable to obtain general banking licenses, as a result of protectionism in support of domestic banks. More foreign banks would almost surely have helped to calm the Asian financial crisis for several reasons. First branches of major international banks would have been less subject to depositor panics (indeed, in Indonesia, depositors fled from Indonesia national banks to the few foreign banks). Second, these foreign banks would have been less likely to withdraw their own loans to local customers than they were to withdraw their cross-border credits to Asian banks. Third these banks would have raised the general level of competition in the banking system, and would probably have helped to limit the politicization of bank ownership and bank lending.

6.6.5 The IMF Stimulus Plan

The IMF bailout lending was ineffective. On the one hand, the IMF was unable to be a true lender of last resort. The institution's provision of loans was sufficiently restrictive, conditional and staggered. This resulted in the continued doubts in the markets and left room for "rational panics ". Even after the announcement of IMF loan packages short term claimants still had the preferred option of withdrawing their loans to see what will happen in the future. The provision of IMF loans is unlikely, therefore, to staunch a panicked outflow of loan capital. On the one hand, the panic continues, with adverse macroeconomic consequences; on the other hand , the foreign lending is socialized (i.e rapid by the public sector), with objectionable distributional consequences (since the foreign banks get bailed out at the expense of taxpayer of the emerging markets) and with deep problems of moral hazard.

The Korean episode points to a better approach: orderly workout arrangements that rely on private-sector funds rather than IMF bailout loans (Sachs 1995). The analytical starting point is the recognition that some types of bankruptcies such as was in the United States create a negotiating framework for creditors and debtors that overcomes many of the collective action problems inherent in financial crisis. A bankruptcy arrangement typically involves a standstill on debt serving (such as in Korea the first quarter o 1998) : an arrangement for tapping private capital market for interim financing; and a system for debt reduction and debt-to-equity conversion that overcomes the inevitable problems of free-riding among creditors in the course debt restructuring exercises.

The provision of debtor-in-possession financing under the bankruptcy law is critical. The general idea is that the bankruptcy court can enable the bankrupt debtor to tap the private capital markets by granting priority to the new loans in the repayment queue. In this context, a country could be enabled to go to the Eurobond markets for instance with the enforceable legal right to borrow fresh loans that would be repaid ahead of all of the existing creditors. In this way, the bankruptcy court is able to get working capital to the bankrupt debtor despite the fact that the court (unlike the IMF) has no ability to tap official funding sources. In this regard, the IMF would facilitate interim financing ,not by proving it directly out of official funds , but rather by overseeing new priority borrowing by the debtor country. Since the new loan would be prior in repayment to the existing

debts, the debtor country would still be able to tap the capital markets despite the standstill on repayments of the earlier debt

6.6.6 Stability of Macroeconomic Fundamentals

Empirical analysis strongly suggests that the combination of substantial real exchange rate appreciation with large current account deficits was an important source of crisis vulnerability. Another major finding is that while inflation did not play a major role in the Asian crisis, unwise credit expansion did. Thus low inflation rates cannot be taken as a safe indicator of financial soundness and the absence of overheating in the economy. This suggests that the strict inflation targeting needs to be complemented with a broader view. A related lesson is that policies that are prudent for a good while can stray off course rather quickly. Thailand had been following laudable monetary and fiscal policies for sometime, a number of observers have argued that if the government had tightened fiscal policy in 1996 in light of the large capital inflows, the subsequent overheating of Thai economy could have been avoided.

6.6.7 Exchange Rate Regime

Statistical analysis as that of Furman and Stiglitz (198) and Radelet and Sachs (1998) discussed earlier, provide strong evidence that there was substantial element of liquidity crisis of the Asian contagion. The ratios of M2 and short-term foreign debt to reserves had substantial explanatory power for the pattern of exchange market pressures. The need for the government to pay careful attention to the country's international liquidity positions was thus firmly establish. Beyond the problems with narrow band pegged regimes, no strong lessons have been drawn from the Asian crisis about the potential stability of more flexible intermediate regimes. Because of low inflation rates intermediate regimes have been more durable than in many other areas. The de facto crawling bands of Indonesia and Korea could not protect these countries from crises but neither was over valuation clearly a major cause of crises in these countries as it was for Thailand and the Philippines. The major speculative attacks on Hong Kong and later Argentina illustrate that "hard pegs" of the currency board variety are not sufficient by themselves to generate confidence that pegged rates won't be changed. On this count the breadth of the unstable middle must be seen as extending further in the mixed rate direction rather previously anticipated.

6.7 Topic Summary



The crisis started in Thailand with the financial collapse of the Thai baht caused by the decision of the Thai government to float the cutting its peg to the US dollar

The volume of investment in the Southeast Asian countries ballooned during the year 1990s often at the bequest of national government

The strong flows of international landing to the developing countries were disrupted in the mid 1990s as Mexico suffered a financial crisis beginning in the late 1994

6.8 Work to Do



- ✓ Describe the financial crisis and the challenges of development
- ✓ Describe the chronology of financial crisis in Mexican, Asian and American crisis

6.9 Further Reading



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